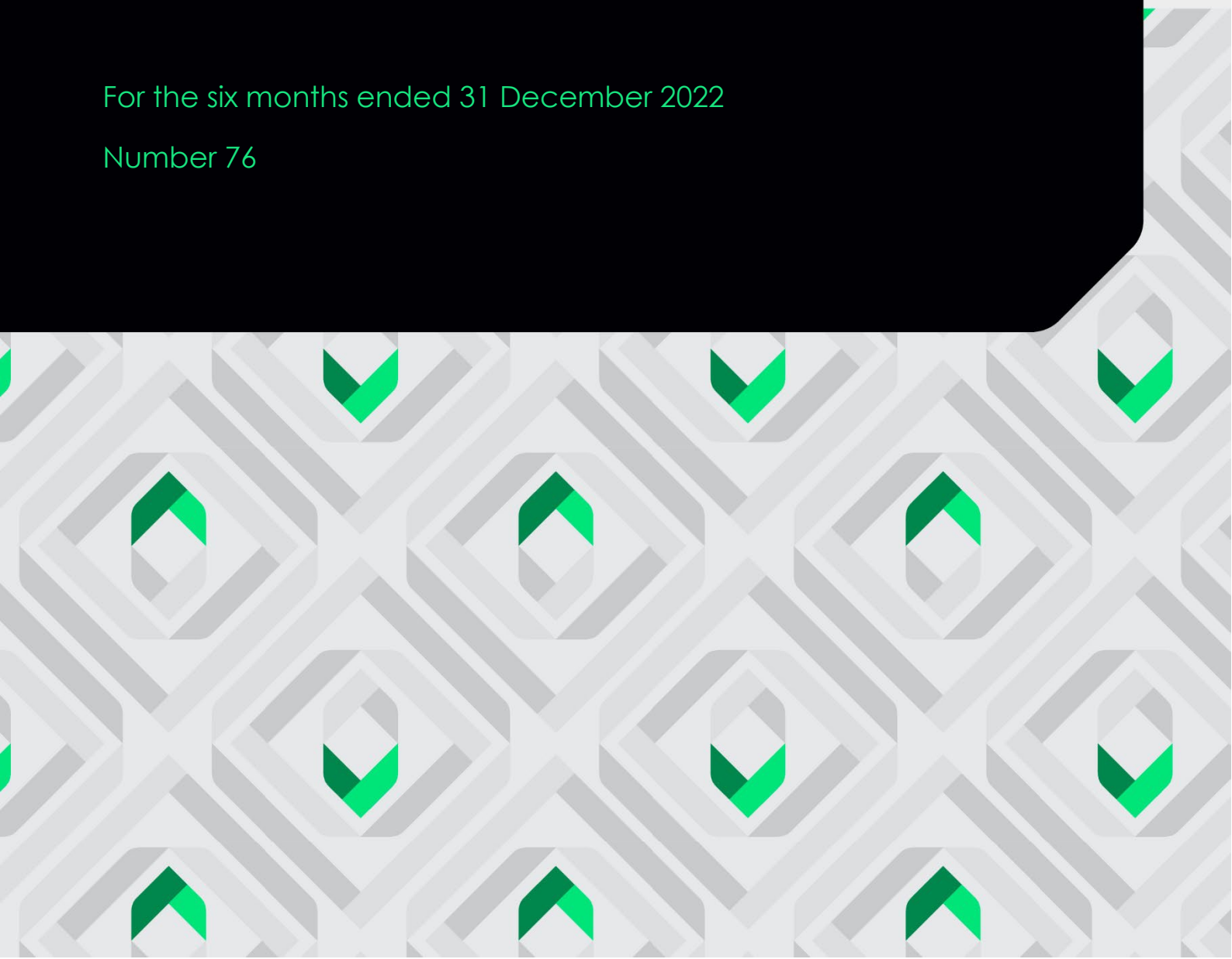




# Registered Bank Disclosure Statement

For the six months ended 31 December 2022

Number 76



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# General matters

## Details of incorporation

Kiwibank Limited ("Kiwibank" or the "Bank") is a company domiciled in New Zealand and was incorporated in New Zealand under the Companies Act 1993 on 4 May 2001. On 29 November 2001, the Bank was registered as a bank under the Reserve Bank of New Zealand Act 1989 (now the Banking (Prudential Supervision) Act 1989) and was required to comply with the conditions of registration as laid down by the Reserve Bank of New Zealand ("RBNZ") from that date onwards.

This Disclosure Statement has been issued by Kiwibank for the six months ended 31 December 2022, in accordance with the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended) (the "**Order**"). Words and phrases defined by the Order have the same meanings used in this Disclosure Statement.

In this Disclosure Statement, "**Banking Group**" means Kiwibank's financial reporting group, which consists of Kiwibank, all of its wholly owned entities and all other entities consolidated for financial reporting purposes.

## Registered office and address for service

Kiwibank's registered office and address for service is: Kiwibank Limited, Level 9, 20 Customhouse Quay, Wellington 6011, New Zealand.

## Other material matters

The Board is of the opinion that there are no other matters relating to the business or affairs of Kiwibank or the Banking Group which are not contained elsewhere in this Disclosure Statement that would, if disclosed, materially affect the decision of a person to subscribe for debt securities of which Kiwibank or any member of the Banking Group is the issuer.

## Pending proceedings or arbitration

The Board is not aware of any pending legal proceedings or arbitration concerning Kiwibank or any member of the Banking Group, whether in New Zealand or elsewhere, that may have a material adverse effect on Kiwibank or the Banking Group.

For completeness, Kiwibank notes that the Financial Markets Authority issued proceedings against it on 9 December 2021. The proceedings seek a declaration that Kiwibank offended the fair dealing provisions of the FMC Act and orders that Kiwibank pay a pecuniary penalty to the Crown and costs.

## Credit ratings

The Bank has the following credit ratings applicable to its long-term unsecured obligations payable in New Zealand, in New Zealand dollars.

| Rating agency                                  | Current credit rating | Rating outlook |
|------------------------------------------------|-----------------------|----------------|
| Moody's Investors Service (" <b>Moody's</b> ") | A1                    | Outlook Stable |
| Fitch Ratings (" <b>Fitch</b> ")               | AA                    | Outlook Stable |

## Conditions of registration

### Changes to conditions of registration

The RBNZ issued revisions to the conditions of registration for Kiwibank effective on and after 1 July 2022, and 5 September 2022.

In the conditions effective on and after 1 July 2022:

- the dividend restriction implemented in response to COVID-19 was removed; and
- references to BS13: Liquidity Policy and BS13A: Liquidity Policy Annex: Liquid Assets were amended to refer to the updated policies dated July 2022.

In the conditions effective on and after 5 September 2022 references to the BS11: Outsourcing Policy for Registered Banks were amended to refer to the updated policy dated September 2022.

There have been no other changes to the Bank's conditions of registration from those which were in force at 30 June 2022.

### Non-compliance with conditions of registration

As disclosed in the Banking Group's Disclosure Statement for 30 June 2022, the Reserve Bank determined that a number of immaterial individual breaches in calculating liquidity ratios did in aggregate constitute a material breach of Condition of Registration 13.

The Banking Group has continued its program of remediation. However, as at 31 December 2022, the issue remains open on the Reserve Bank's Material Breach register. The Banking Group anticipates completing the program of remediation by 30 June 2023. At all times the Banking Group's regulatory liquidity ratios exceeded its internal limits and there was significant headroom above the regulatory minimum.

# General matters continued

## Directorate

John Gilbert Sproat resigned as a director on 30 November 2022.

There have been no other changes in the Board for the six months ended 31 December 2022.

## Responsible persons

Jonathan Peter Hartley and Mary Jane Daly have been authorised in writing to sign this Disclosure Statement in accordance with Section 82 of the RBNZ Act, on behalf of the directors, being:

Jonathan Peter Hartley

Mary Jane Daly

Kevin Mark Malloy

Carol Anne Campbell

Ian Cameron Blair

Gregg Douglas Behrens

Scott John Pickering

## Auditor

The Auditor-General is the auditor of the Bank and the Banking Group. The Auditor-General has appointed Jonathan Freeman, using the staff and resources of PricewaterhouseCoopers, to carry out the review of the interim financial statements of the Banking Group and limited assurance on capital adequacy and regulatory liquidity ratios on his behalf. Jonathan Freeman's address for service is: PricewaterhouseCoopers, PwC Centre, 10 Waterloo Quay, Wellington 6011, New Zealand.

# Guarantees

As at the date the Board approved this Disclosure Statement, payment obligations of Kiwibank in relation to certain debt securities issued by Kiwibank have the benefit of a guarantee by Kiwi Covered Bond Trustee Limited (the "**Covered Bond Guarantee**").

Payment obligations of Kiwibank owed as at 28 February 2017 and still outstanding have the benefit of a deed poll guarantee by the New Zealand Crown (the "**Crown Guarantee**").

A summary of the details of each guarantee is set out below.

## Covered Bond Guarantee

Certain debt securities ("**Covered Bonds**") issued by the Bank are guaranteed by Kiwi Covered Bond Trustee Limited (the "**Covered Bond Guarantor**"), solely in its capacity as Trustee of Kiwi Covered Bond Trust. No material conditions apply to the Covered Bond Guarantee other than non-performance by Kiwibank. There are no material legislative or regulatory restrictions in New Zealand which would have the effect of subordinating the claims under the guarantee of any creditors of the Banking Group on the assets of the Covered Bond Guarantor, to other claims on the Covered Bond Guarantor, in a winding up of the Covered Bond Guarantor. The Covered Bond Guarantee will remain in force until all moneys payable under the Covered Bond Guarantee have been paid.

The Covered Bond Guarantee is limited to the payment of interest on, and the principal of Covered Bonds, and such guarantee is secured over a pool of assets. There are no other limits on the amount of obligations guaranteed. The carrying value of the Kiwi Covered Bond Trust pool at 31 December 2022 is \$700m (31 December 2021: \$700m, 30 June 2022: \$700m).

The Covered Bond Guarantor's address for service is Level 16, SAP Tower, 151 Queen Street, Auckland 1010, New Zealand. The Covered Bond Guarantor is not a member of the Banking Group and has no applicable credit rating. The Covered Bonds have been assigned a long-term rating of Aaa and AAA by Moody's and Fitch respectively. There has been no change in the ratings over the past two years.

## Crown Guarantee

The Crown Guarantee is an unsecured guarantee of all the payment obligations (excluding any payment obligations, the terms of which expressly provide in writing that they do not have the benefit of the Crown Guarantee) of Kiwibank owing as at 28 February 2017 and still outstanding. No material conditions apply to the Crown Guarantee other than non-performance by Kiwibank. The Crown Guarantee has no expiry date in relation to the payment obligations that continue to be guaranteed.

The address for service of the Crown is: 1 The Terrace, Wellington Central, Wellington 6011, New Zealand.

Information about this crown guarantee is available on the Kiwibank website - <https://www.kiwibank.co.nz/about-us/governance/legal-documents-and-information/legal-documents/#crown-guarantee-formally-known-as-new-zealand-post-guarantee>.

The Crown Guarantee was previously the NZ Post ("**NZP**") Guarantee which was assigned to the Crown on 30 November 2022. The terms and conditions under the NZP Guarantee remain the same under this Crown Guarantee. Further information on the NZP Guarantee can be found in the Banking Group's Disclosure Statement for the year ended 30 June 2022 which can be found on the Kiwibank website - <https://www.kiwibank.co.nz/about-us/governance/investor-centre/reports-and-presentations/>.

# Directors' statement

The directors of Kiwibank state that each director believes, after due inquiry, that:

1. As at the date on which the Disclosure Statement is signed:
  - i) the Disclosure Statement contains all the information that is required by the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended); and
  - ii) the Disclosure Statement is not false or misleading.
2. During the six months ended 31 December 2022:
  - i) Kiwibank has complied in all material respects with the conditions of registration applicable during the period except as noted on page 1;
  - ii) credit exposures to connected persons were not contrary to the interests of the Banking Group; and
  - iii) Kiwibank had systems in place to monitor and control adequately the Banking Group's material risks, including credit risk, concentration of credit risk, interest rate risk, currency risk, equity risk, liquidity risk, operational risk and other business risks, and that those systems were being properly applied.

Signed by Jonathan Peter Hartley and Mary Jane Daly as directors and responsible persons on behalf of all the directors listed in the Directorate of this Disclosure Statement.



22 February 2023

# Interim financial statements

## Income statement

For the six months ended 31 December 2022

| Dollars in millions                                 | Note | Unaudited<br>6 months<br>ended<br>31/12/22 | Unaudited<br>6 months<br>ended<br>31/12/21 | Audited<br>year<br>ended<br>30/06/22 |
|-----------------------------------------------------|------|--------------------------------------------|--------------------------------------------|--------------------------------------|
| Interest income                                     |      | 628                                        | 416                                        | 907                                  |
| Interest expense                                    |      | (242)                                      | (118)                                      | (277)                                |
| Net interest income                                 |      | 386                                        | 298                                        | 630                                  |
| Net gains on financial instruments                  | 2    | 7                                          | 9                                          | 7                                    |
| Other operating income                              | 3    | 22                                         | 21                                         | 43                                   |
| <b>Total operating income</b>                       |      | <b>415</b>                                 | <b>328</b>                                 | <b>680</b>                           |
| Operating expenses                                  |      | (263)                                      | (232)                                      | (480)                                |
| <b>Profit before credit impairment and taxation</b> |      | <b>152</b>                                 | <b>96</b>                                  | <b>200</b>                           |
| Credit impairment losses                            | 5    | (12)                                       | (7)                                        | (16)                                 |
| <b>Profit before taxation</b>                       |      | <b>140</b>                                 | <b>89</b>                                  | <b>184</b>                           |
| Income tax expense                                  |      | (42)                                       | (25)                                       | (53)                                 |
| <b>Profit after taxation</b>                        |      | <b>98</b>                                  | <b>64</b>                                  | <b>131</b>                           |

Certain comparatives have been restated or reclassified, refer to Note 1.7 for further information.

## Statement of comprehensive income

For the six months ended 31 December 2022

| Dollars in millions                                                                                  | Unaudited<br>6 months<br>ended<br>31/12/22 | Unaudited<br>6 months<br>ended<br>31/12/21 | Audited<br>year<br>ended<br>30/06/22 |
|------------------------------------------------------------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------------------------|
| Profit after taxation                                                                                | 98                                         | 64                                         | 131                                  |
| Other comprehensive income                                                                           |                                            |                                            |                                      |
| Net (losses)/gains from changes in reserves that may subsequently be reclassified to profit or loss: |                                            |                                            |                                      |
| - Fair value reserve (net of tax)                                                                    | (10)                                       | (32)                                       | (66)                                 |
| - Cash flow hedge reserve (net of tax)                                                               | 27                                         | 76                                         | 191                                  |
| Other comprehensive income for the period/year                                                       | 17                                         | 44                                         | 125                                  |
| <b>Total comprehensive income for the period/year</b>                                                | <b>115</b>                                 | <b>108</b>                                 | <b>256</b>                           |

The notes to the financial statements form an integral part of, and should be read in conjunction with, these financial statements.

# Interim financial statements

## Statement of changes in equity

For the six months ended 31 December 2022

| Dollars in millions                                          | Ordinary Shares | Retained Earnings | Fair Value Reserve | Cash Flow Hedge Reserve | Perpetual Preference Shares | Total Equity |
|--------------------------------------------------------------|-----------------|-------------------|--------------------|-------------------------|-----------------------------|--------------|
| Audited balance as at 30 June 2021                           | 737             | 967               | 1                  | 19                      | -                           | 1,724        |
| <b>Unaudited 6 months ended 31 December 2021</b>             |                 |                   |                    |                         |                             |              |
| Profit for the period                                        | -               | 64                | -                  | -                       | -                           | 64           |
| <b>Other comprehensive income</b>                            |                 |                   |                    |                         |                             |              |
| Movement in fair value of investment securities (net of tax) | -               | -                 | (32)               | -                       | -                           | (32)         |
| Cash flow hedges (net of tax)                                | -               | -                 | -                  | 76                      | -                           | 76           |
| <b>Total other comprehensive income</b>                      | -               | -                 | (32)               | 76                      | -                           | 44           |
| <b>Total comprehensive income</b>                            | -               | 64                | (32)               | 76                      | -                           | 108          |
| <b>Transactions with owners</b>                              |                 |                   |                    |                         |                             |              |
| Issue of perpetual preference shares                         | -               | -                 | -                  | -                       | 246                         | 246          |
| Dividends paid on ordinary shares                            | -               | (6)               | -                  | -                       | -                           | (6)          |
| Distributions to the holder of perpetual capital bond        | -               | (3)               | -                  | -                       | -                           | (3)          |
| <b>Unaudited balance at 31 December 2021</b>                 | <b>737</b>      | <b>1,022</b>      | <b>(31)</b>        | <b>95</b>               | <b>246</b>                  | <b>2,069</b> |
| <b>Audited year ended 30 June 2022</b>                       |                 |                   |                    |                         |                             |              |
| Profit for the year                                          | -               | 131               | -                  | -                       | -                           | 131          |
| <b>Other comprehensive income</b>                            |                 |                   |                    |                         |                             |              |
| Movement in fair value of investment securities (net of tax) | -               | -                 | (66)               | -                       | -                           | (66)         |
| Cash flow hedges (net of tax)                                | -               | -                 | -                  | 191                     | -                           | 191          |
| <b>Total other comprehensive income</b>                      | -               | -                 | (66)               | 191                     | -                           | 125          |
| <b>Total comprehensive income</b>                            | -               | 131               | (66)               | 191                     | -                           | 256          |
| <b>Transactions with owners</b>                              |                 |                   |                    |                         |                             |              |
| Issue of perpetual preference shares                         | -               | -                 | -                  | -                       | 246                         | 246          |
| Dividends paid on ordinary shares                            | -               | (17)              | -                  | -                       | -                           | (17)         |
| Distributions to the holder of perpetual capital bond        | -               | (3)               | -                  | -                       | -                           | (3)          |
| Distributions to holders of perpetual preference shares      | -               | (4)               | -                  | -                       | -                           | (4)          |
| <b>Audited balance at 30 June 2022</b>                       | <b>737</b>      | <b>1,074</b>      | <b>(65)</b>        | <b>210</b>              | <b>246</b>                  | <b>2,202</b> |
| <b>Unaudited 6 months ended 31 December 2022</b>             |                 |                   |                    |                         |                             |              |
| Profit for the period                                        | -               | 98                | -                  | -                       | -                           | 98           |
| <b>Other comprehensive income</b>                            |                 |                   |                    |                         |                             |              |
| Movement in fair value of investment securities (net of tax) | -               | -                 | (10)               | -                       | -                           | (10)         |
| Cash flow hedges (net of tax)                                | -               | -                 | -                  | 27                      | -                           | 27           |
| <b>Total other comprehensive income</b>                      | -               | -                 | (10)               | 27                      | -                           | 17           |
| <b>Total comprehensive income</b>                            | -               | 98                | (10)               | 27                      | -                           | 115          |
| <b>Transactions with owners</b>                              |                 |                   |                    |                         |                             |              |
| Dividends paid on ordinary shares                            | -               | (14)              | -                  | -                       | -                           | (14)         |
| Distributions to the holders of perpetual preference shares  | -               | (4)               | -                  | -                       | -                           | (4)          |
| <b>Unaudited balance at 31 December 2022</b>                 | <b>737</b>      | <b>1,154</b>      | <b>(75)</b>        | <b>237</b>              | <b>246</b>                  | <b>2,299</b> |

The notes to the financial statements form an integral part of, and should be read in conjunction with, these financial statements.



# Interim financial statements

## Balance sheet

As at 31 December 2022

| Dollars in millions                                       | Note | Unaudited<br>31/12/22 | Unaudited<br>31/12/21 | Audited<br>30/6/22 |
|-----------------------------------------------------------|------|-----------------------|-----------------------|--------------------|
| <b>Assets</b>                                             |      |                       |                       |                    |
| Cash and cash equivalents                                 |      | 1,446                 | 1,547                 | 1,522              |
| Due from other financial institutions                     | 8    | 116                   | 200                   | 138                |
| Investment securities                                     |      | 2,115                 | 1,509                 | 1,431              |
| Derivative financial instruments                          |      | 554                   | 270                   | 477                |
| Loans and advances                                        | 4    | 28,898                | 27,179                | 27,751             |
| Deferred taxation                                         |      | -                     | 34                    | -                  |
| Premises and equipment                                    |      | 139                   | 143                   | 142                |
| Intangible assets                                         |      | 28                    | 44                    | 35                 |
| Other assets                                              |      | 72                    | 44                    | 51                 |
| <b>Total assets</b>                                       |      | <b>33,368</b>         | <b>30,970</b>         | <b>31,547</b>      |
| <i>Total interest-earning and discount-bearing assets</i> |      | <b>32,424</b>         | <b>30,211</b>         | <b>30,734</b>      |
| <b>Liabilities</b>                                        |      |                       |                       |                    |
| Due to other financial institutions                       | 9    | 2,118                 | 1,720                 | 1,839              |
| Deposits and other borrowings                             | 10   | 25,262                | 23,825                | 24,216             |
| Derivative financial instruments                          |      | 291                   | 168                   | 207                |
| Debt securities issued                                    | 11   | 2,904                 | 2,694                 | 2,579              |
| Deferred taxation                                         |      | 14                    | -                     | 6                  |
| Other liabilities                                         |      | 232                   | 237                   | 248                |
| Subordinated debt                                         | 12   | 248                   | 257                   | 250                |
| <b>Total liabilities</b>                                  |      | <b>31,069</b>         | <b>28,901</b>         | <b>29,345</b>      |
| <i>Total interest and discount-bearing liabilities</i>    |      | <b>25,720</b>         | <b>23,256</b>         | <b>23,848</b>      |
| <b>Equity</b>                                             |      |                       |                       |                    |
| Share capital                                             |      | 737                   | 737                   | 737                |
| Reserves                                                  |      | 1,316                 | 1,086                 | 1,219              |
| Perpetual preference shares                               |      | 246                   | 246                   | 246                |
| <b>Total equity</b>                                       |      | <b>2,299</b>          | <b>2,069</b>          | <b>2,202</b>       |
| <b>Total liabilities and equity</b>                       |      | <b>33,368</b>         | <b>30,970</b>         | <b>31,547</b>      |

Certain comparatives have been restated or reclassified, refer to Note 1.7 for further information.

The Board of Directors of Kiwibank Limited authorised these financial statements for issue on 22 February 2023.



Jonathan Peter Hartley



Mary Jane Daly

The notes to the financial statements form an integral part of, and should be read in conjunction with, these financial statements.

# Interim financial statements

## Cash flow statement

For the six months ended 31 December 2022

|                                                                                                    | Unaudited<br>6 months<br>ended<br>31/12/22 | Unaudited<br>6 months<br>ended<br>31/12/21 | Audited<br>year<br>ended<br>30/06/22 |
|----------------------------------------------------------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------------------------|
| Dollars in millions                                                                                |                                            |                                            |                                      |
| <b>Cash flows from operating activities</b>                                                        |                                            |                                            |                                      |
| Interest received                                                                                  | 631                                        | 435                                        | 933                                  |
| Interest paid                                                                                      | (187)                                      | (119)                                      | (265)                                |
| Fees and other income received                                                                     | 62                                         | 55                                         | 109                                  |
| Direct fee expenses paid                                                                           | (40)                                       | (35)                                       | (67)                                 |
| Operating expenses paid                                                                            | (256)                                      | (233)                                      | (456)                                |
| Taxes paid                                                                                         | (58)                                       | (19)                                       | (32)                                 |
| <b>Net cash flows from operating activities before changes in operating assets and liabilities</b> | <b>152</b>                                 | <b>84</b>                                  | <b>222</b>                           |
| <b>Net changes in operating assets and liabilities</b>                                             |                                            |                                            |                                      |
| Investment securities                                                                              | (696)                                      | 152                                        | 188                                  |
| Loans and advances                                                                                 | (1,154)                                    | (1,898)                                    | (2,485)                              |
| Balances due from other financial institutions                                                     | 22                                         | (174)                                      | (112)                                |
| Deposits and other borrowings                                                                      | 1,000                                      | 1,421                                      | 1,794                                |
| Balances due to other financial institutions                                                       | 9                                          | 471                                        | 500                                  |
| Other liabilities                                                                                  | -                                          | (1)                                        | (5)                                  |
| <b>Net cash flows from operating activities</b>                                                    | <b>(667)</b>                               | <b>55</b>                                  | <b>102</b>                           |
| <b>Cash flows from investing activities</b>                                                        |                                            |                                            |                                      |
| Purchase of premises and equipment                                                                 | (6)                                        | (2)                                        | (14)                                 |
| Purchase of intangible assets                                                                      | (1)                                        | (3)                                        | (3)                                  |
| <b>Net cash flows from investing activities</b>                                                    | <b>(7)</b>                                 | <b>(5)</b>                                 | <b>(17)</b>                          |
| <b>Cash flows from financing activities</b>                                                        |                                            |                                            |                                      |
| Repurchase agreements                                                                              | 270                                        | 531                                        | 621                                  |
| Issue of debt securities                                                                           | 1,178                                      | 1,070                                      | 1,491                                |
| Redemption of debt securities                                                                      | (823)                                      | (899)                                      | (1,452)                              |
| Payment of principal portion of lease liabilities                                                  | (7)                                        | (7)                                        | (14)                                 |
| Issue of perpetual preference shares (net of issuance costs)                                       | -                                          | 246                                        | 246                                  |
| Repayment of perpetual capital bond                                                                | -                                          | (150)                                      | (150)                                |
| Dividends paid on ordinary shares                                                                  | (14)                                       | (6)                                        | (17)                                 |
| Distributions paid to the holder of perpetual capital bond                                         | -                                          | (3)                                        | (3)                                  |
| Distributions to the holders of perpetual preference shares                                        | (4)                                        | -                                          | (4)                                  |
| <b>Net cash flows from financing activities</b>                                                    | <b>600</b>                                 | <b>782</b>                                 | <b>718</b>                           |
| <b>Increase/(decrease) in cash and cash equivalents</b>                                            | <b>(74)</b>                                | <b>832</b>                                 | <b>803</b>                           |
| Cash and cash equivalents at beginning of the period/year                                          | 1,522                                      | 715                                        | 715                                  |
| Effect of exchange translation adjustments                                                         | (2)                                        | -                                          | 4                                    |
| <b>Cash and cash equivalents at end of the period/year</b>                                         | <b>1,446</b>                               | <b>1,547</b>                               | <b>1,522</b>                         |

Certain comparatives have been restated or reclassified, refer to Note 1.7 for further information.

The notes to the financial statements form an integral part of, and should be read in conjunction with, these financial statements.

# Notes to the interim financial statements

## 1. Summary of significant accounting policies

### 1.1. Reporting Entity

These condensed consolidated interim financial statements ("**interim financial statements**") are presented for the "**Banking Group**", which consists of Kiwibank Limited ("**Kiwibank**" or the "**Bank**") and its subsidiaries. Kiwibank is a for-profit entity incorporated and domiciled in New Zealand under the Companies Act 1993 and is registered as a bank under the Reserve Bank of New Zealand Act 1989 (now the Banking (Prudential Supervision) Act 1989). The principal activity of the Banking Group is the provision of banking products and services to individuals and small to medium-sized businesses.

Kiwibank's immediate parent company is Kiwi Group Holdings Limited ("**KGHL**").

On 23 November 2022, 100% of the shares of KGHL were acquired by Kiwi Group Capital Limited ("**KGCL**"), a new Crown company. Previously KGHL was owned by NZ Post Limited (53%), NZSF Tui Investments Limited (25%) and Accident Compensation Corporation (22%).

The ultimate holding company of Kiwibank is KGCL whose address for service is: Level 9, 20 Customhouse Quay, Wellington 6011, New Zealand. The ultimate shareholder of Kiwibank is the New Zealand Crown (the "**Crown**").

### 1.2. Basis of preparation

These interim financial statements are for the Banking Group for the six months ended 31 December 2022 and have been prepared in accordance with Generally Accepted Accounting Practice in New Zealand, as appropriate for for-profit entities. They comply with NZ IAS 34 *Interim Financial Reporting*, IAS 34 *Interim Financial Reporting* and the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended) (the "**Order**"). The interim financial statements have been reviewed, not audited. These interim financial statements should be read in conjunction with the Banking Group's financial statements for the year ended 30 June 2022.

#### Measurement base

These interim financial statements are based on the general principles of historical cost accounting, modified by the application of fair value measurements for financial instruments held at fair value through other comprehensive income, financial instruments held at fair value through profit or loss and derivatives used for hedging. The carrying values of recognised assets and liabilities that are hedged items in fair value hedges, and otherwise carried at amortised cost, are adjusted to record changes in fair value attributable to the risks that are being hedged.

### 1.3. Accounting policies

The accounting policies adopted in the preparation of the interim financial statements are consistent with those followed in the preparation of the Banking Group's annual financial statements for the year ended 30 June 2022.

### 1.4. New Accounting Standards effective this period

No new accounting standards have been adopted by the Banking Group for the six months ended 31 December 2022. There have been no amendments to existing accounting standards that have a material impact on the Banking Group.

### 1.5. Critical judgements and estimates

Information regarding the critical accounting judgements, estimates and assumptions is provided in the financial statements for the year ended 30 June 2022. These judgements, estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are considered to be reasonable under the circumstances. Actual results could differ from these estimates.

Updated judgements, estimates and assumptions in relation to the measurement of expected credit losses are set out in note 5.

### 1.6. Functional and presentation currency

The Banking Group's interim financial statements are presented in New Zealand dollars, which is the Bank's functional and presentation currency. All amounts are expressed in millions of New Zealand dollars, unless otherwise stated.

### 1.7. Comparative amounts

Comparatives for these interim financial statements comprise the six months ended 31 December 2021 and the year ended 30 June 2022. Reference to the 'audited' numbers in these interim financial statements are to numbers that have been extracted from the audited financial statements for the year ended 30 June 2022.

Comparative information has been restated or reclassified, where appropriate, to align with the current period's presentation. All restatements and reclassifications have no impact on the previously reported net assets or net profit after tax.

#### Financial Statement Line-Item balance sheet reclassifications

For 31 December 2021, the Banking Group has reclassified the following line items within the balance sheet to align with the changes made in the 30 June 2022 Disclosure Statement to simplify the financial statements for readers and align closer with regulatory reporting.

# Notes to the interim financial statements

## 1. Summary of significant accounting policies

### 1.7. Comparative amounts *continued*

| Dollars in millions                                                                                                                     | Reported<br>31/12/21 | Adjustments | Reclassified<br>31/12/21 |
|-----------------------------------------------------------------------------------------------------------------------------------------|----------------------|-------------|--------------------------|
| <b>'Due from related parties' aggregated into 'Loans and advances'</b>                                                                  |                      |             |                          |
| Due from related parties                                                                                                                | 76                   | (76)        | -                        |
| Loans and advances                                                                                                                      | 27,103               | 76          | 27,179                   |
| <b>'Other assets' disaggregated into 'Premises and equipment'</b>                                                                       |                      |             |                          |
| Other assets                                                                                                                            | 187                  | (143)       | 44                       |
| Premises and equipment                                                                                                                  | -                    | 143         | 143                      |
| <b>'Due to related parties' &amp; 'Current tax liability' aggregated into 'Deposits and other borrowings' &amp; 'Other liabilities'</b> |                      |             |                          |
| Due to related parties                                                                                                                  | 4                    | (4)         | -                        |
| Deposits and other borrowings                                                                                                           | 23,822               | 3           | 23,825                   |
| Current tax liability                                                                                                                   | 36                   | (36)        | -                        |
| Other liabilities                                                                                                                       | 200                  | 37          | 237                      |

Where relevant, the notes to the financial statements have been reclassified to align with the above changes.

### Restatements and reclassifications in the primary financial statements

#### *Interest income and expense in the income statement*

For the six months ended 31 December 2021, interest related to cash flow hedges of floating rate liabilities was recorded within interest income, which resulted in an understatement of 'Interest income' and 'Interest expense' previously reported by \$17m. In addition, interest on certain derivatives was reported within interest expense resulting in an overstatement of 'Interest income' and 'Interest expense' impacting the previously reported balances for both 31 December 2021 and 30 June 2022 by \$2m and \$12m respectively.

Therefore, comparatives for the six months ended 31 December 2021 have been restated to increase 'Interest income' and 'Interest expense' by \$15m (net), and for the year ended 30 June 2022 to decrease 'Interest income' and 'Interest expense' by \$12m. This adjustment also impacts the cash flow statement.

### Restatements and reclassifications in the notes to the financial statements

#### *Other operating income (note 3)*

For the six months ended 31 December 2021, additional product level financial information has been provided in the current period to align the classification of other operating income by product line to the changes in segment reporting in the prior year.

#### *Loans and advances (note 4)*

The amounts disclosed as current or non-current for the six months ended 31 December 2021 have been restated to align with the current period's presentation based on the expected timing of cash flows and reclassification of 'Due from related parties'. As a result, comparatives for current loans increased by \$154m and non-current loans decreased by \$78m.

#### *Related parties (note 16)*

Amounts within 'Included in deposits and other borrowings' as at 31 December 2021 were restated from \$130m to \$128m for amounts previously disclosed separately within 'Due to related parties' of \$3m, and to exclude \$5m from associates of ACC no longer classified as a related party.

Amounts within 'Included in loans and advances' as at 31 December 2021 were restated from nil to \$140m for amounts previously disclosed separately within 'Due from related parties' of \$76m, and to include additional loans and advances of \$64m to subsidiaries and joint ventures of NZSF.

# Notes to the interim financial statements

## 2. Net gains on financial instruments

| Dollars in millions                                           | Unaudited<br>6 months<br>ended<br>31/12/22 | Unaudited<br>6 months<br>ended<br>31/12/21 | Audited<br>year<br>ended<br>30/06/22 |
|---------------------------------------------------------------|--------------------------------------------|--------------------------------------------|--------------------------------------|
| Financial instruments held for trading                        | (14)                                       | 4                                          | (11)                                 |
| Financial instruments at FVTPL                                | (1)                                        | 1                                          | 1                                    |
| Net ineffectiveness on qualifying fair value hedges           | (1)                                        | -                                          | -                                    |
| Cumulative (loss)/gain transferred from fair value reserve    | (6)                                        | 2                                          | 2                                    |
| Cumulative gain transferred from cash flow hedge reserve      | 24                                         | -                                          | 7                                    |
| Net foreign exchange gains                                    | 5                                          | 2                                          | 8                                    |
| <b>Total net gains on financial instruments at fair value</b> | <b>7</b>                                   | <b>9</b>                                   | <b>7</b>                             |

Net ineffectiveness on qualifying cash flow hedges was insignificant (31 December 2021: insignificant, 30 June 2022: insignificant). Net ineffectiveness on qualifying fair value hedges was \$(0.6)m (31 December 2021: insignificant, 30 June 2022: \$0.5m).

## 3. Other operating income

| Dollars in millions                                | Unaudited 6 months ended 31/12/22 |                      |          | Total     |
|----------------------------------------------------|-----------------------------------|----------------------|----------|-----------|
|                                                    | Retail<br>products                | Business<br>products | Other    |           |
| <b>Major service categories</b>                    |                                   |                      |          |           |
| Transactional account and other services           | 16                                | 3                    | -        | 19        |
| Card services                                      | 34                                | 1                    | -        | 35        |
| Lending services                                   | -                                 | 2                    | 1        | 3         |
| <b>Total revenue from contracts with customers</b> | <b>50</b>                         | <b>6</b>             | <b>1</b> | <b>57</b> |
| Other income                                       | 6                                 | -                    | -        | 6         |
| <b>Gross fee and other income</b>                  | <b>56</b>                         | <b>6</b>             | <b>1</b> | <b>63</b> |
| Direct fee expenses                                | (39)                              | (2)                  | -        | (41)      |
| <b>Total other operating income</b>                | <b>17</b>                         | <b>4</b>             | <b>1</b> | <b>22</b> |

| Dollars in millions                                | Unaudited 6 months ended 31/12/21 |                      |          | Total     |
|----------------------------------------------------|-----------------------------------|----------------------|----------|-----------|
|                                                    | Retail<br>products                | Business<br>products | Other    |           |
| <b>Major service categories</b>                    |                                   |                      |          |           |
| Transactional account and other services           | 16                                | 2                    | -        | 18        |
| Card services                                      | 30                                | -                    | -        | 30        |
| Lending services                                   | 3                                 | 2                    | 1        | 6         |
| <b>Total revenue from contracts with customers</b> | <b>49</b>                         | <b>4</b>             | <b>1</b> | <b>54</b> |
| Other income                                       | -                                 | -                    | 1        | 1         |
| <b>Gross fee and other income</b>                  | <b>49</b>                         | <b>4</b>             | <b>2</b> | <b>55</b> |
| Direct fee expenses                                | (34)                              | -                    | -        | (34)      |
| <b>Total other operating income</b>                | <b>15</b>                         | <b>4</b>             | <b>2</b> | <b>21</b> |

Certain comparatives have been restated or reclassified, refer to Note 1.7 for further information.

# Notes to the interim financial statements

## 3. Other operating income

| Dollars in millions                                | Audited year ended 30/06/22 |                   |          |            |
|----------------------------------------------------|-----------------------------|-------------------|----------|------------|
|                                                    | Retail products             | Business products | Other    | Total      |
| <b>Major service categories</b>                    |                             |                   |          |            |
| Transactional account and other services           | 32                          | 5                 | -        | 37         |
| Card services                                      | 61                          | 1                 | -        | 62         |
| Lending services                                   | 4                           | 4                 | 2        | 10         |
| <b>Total revenue from contracts with customers</b> | <b>97</b>                   | <b>10</b>         | <b>2</b> | <b>109</b> |
| Other income                                       | -                           | -                 | 1        | 1          |
| <b>Gross fee and other income</b>                  | <b>97</b>                   | <b>10</b>         | <b>3</b> | <b>110</b> |
| Direct fee expenses                                | (66)                        | (1)               | -        | (67)       |
| <b>Total other operating income</b>                | <b>31</b>                   | <b>9</b>          | <b>3</b> | <b>43</b>  |

## 4. Loans and advances

| Dollars in millions                 | Unaudited as at 31/12/22 | Unaudited as at 31/12/21 | Audited as at 30/06/22 |
|-------------------------------------|--------------------------|--------------------------|------------------------|
| Overdrafts                          | 204                      | 121                      | 168                    |
| Credit cards                        | 363                      | 369                      | 348                    |
| Term loans – housing                | 23,822                   | 22,924                   | 23,152                 |
| Other term lending                  | 4,155                    | 3,433                    | 3,787                  |
| Other lending                       | 431                      | 390                      | 363                    |
| <b>Gross loans and advances</b>     | <b>28,975</b>            | <b>27,237</b>            | <b>27,818</b>          |
| Credit impairment provision         | (77)                     | (58)                     | (67)                   |
| <b>Total net loans and advances</b> | <b>28,898</b>            | <b>27,179</b>            | <b>27,751</b>          |
| Current                             | 2,589                    | 2,119                    | 2,382                  |
| Non-current                         | 26,309                   | 25,060                   | 25,369                 |

Certain comparatives have been restated or reclassified, refer to Note 1.7 for further information.

### Business Finance Guarantee Scheme

The Minister of Finance established the Business Finance Guarantee Scheme (the “Scheme”) in April 2020 to help banks support New Zealand businesses facing hardship due to COVID-19 via an indemnity pursuant to section 65ZD of the Public Finance Act 1989, with further deeds of indemnity executed in August 2020 and December 2020. The Scheme closed for applications on 30 June 2021 and existing loans will be repaid over the period to 30 June 2026.

The carrying amount of loans under this Scheme as at 31 December 2022 were \$77.8m (31 December 2021: \$103m, 30 June 2022: \$90.4m).

### Reconciliation of mortgage-related amounts – On-balance sheet exposures

| Dollars in millions                                                              | Unaudited as at 31/12/22 |
|----------------------------------------------------------------------------------|--------------------------|
| <b>Term loans - housing (per above)</b>                                          | <b>23,822</b>            |
| Other term lending residentially secured including corporate lending             | 1,116                    |
| <b>Gross residential mortgage loans per asset quality (Note 5)</b>               | <b>24,938</b>            |
| Credit impairment provision                                                      | (30)                     |
| Deferred arrangement fees                                                        | (85)                     |
| <b>Residential mortgages total on-balance sheet exposures (Capital Adequacy)</b> | <b>24,823</b>            |

The residential mortgages above includes balances for the purpose of investment in residential property and owner-occupied housing.

# Notes to the interim financial statements

## 5. Asset quality

### Credit impairment (losses)/reversals recognised in income statement

| Dollars in millions                                                             | Unaudited 6 months ended 31/12/22 |                            |                     |             |
|---------------------------------------------------------------------------------|-----------------------------------|----------------------------|---------------------|-------------|
|                                                                                 | Retail unsecured lending          | Residential mortgage loans | Corporate exposures | Total       |
| (Charged)/credited to the income statement for collectively assessed provisions | -                                 | (1)                        | (9)                 | (10)        |
| (Charged)/credited to the income statement for individually assessed provisions | -                                 | -                          | (1)                 | (1)         |
| Amounts written off directly to the income statement                            | (1)                               | -                          | (1)                 | (2)         |
| Recovery of amounts previously written off                                      | 1                                 | -                          | -                   | 1           |
| <b>Total credit impairment losses per income statement</b>                      | <b>-</b>                          | <b>(1)</b>                 | <b>(11)</b>         | <b>(12)</b> |

| Dollars in millions                                                             | Unaudited 6 months ended 31/12/21 |                            |                     |            |
|---------------------------------------------------------------------------------|-----------------------------------|----------------------------|---------------------|------------|
|                                                                                 | Retail unsecured lending          | Residential mortgage loans | Corporate exposures | Total      |
| Credited/(charged) to the income statement for collectively assessed provisions | 2                                 | 1                          | (7)                 | (4)        |
| (Charged)/credited to the income statement for individually assessed provisions | -                                 | (1)                        | -                   | (1)        |
| Amounts written off directly to the income statement                            | (3)                               | -                          | -                   | (3)        |
| Recovery of amounts previously written off                                      | 1                                 | -                          | -                   | 1          |
| <b>Total credit impairment losses per income statement</b>                      | <b>-</b>                          | <b>-</b>                   | <b>(7)</b>          | <b>(7)</b> |

| Dollars in millions                                                             | Audited year ended 30/06/22 |                            |                     |             |
|---------------------------------------------------------------------------------|-----------------------------|----------------------------|---------------------|-------------|
|                                                                                 | Retail unsecured lending    | Residential mortgage loans | Corporate exposures | Total       |
| Credited/(charged) to the income statement for collectively assessed provisions | 2                           | (11)                       | (4)                 | (13)        |
| (Charged)/credited to the income statement for individually assessed provisions | -                           | -                          | -                   | -           |
| Amounts written off directly to the income statement                            | (5)                         | -                          | -                   | (5)         |
| Recovery of amounts previously written off                                      | 2                           | -                          | -                   | 2           |
| <b>Total credit impairment losses per income statement</b>                      | <b>(1)</b>                  | <b>(11)</b>                | <b>(4)</b>          | <b>(16)</b> |

### Reconciliation of movement in total credit impairment provisions

Further analysis of the significant judgements and associated assumptions in relation to changes in model inputs, scenario weightings (included within expected credit losses ("ECL") movements), and model overlays is detailed below.

| Dollars in millions                                | Unaudited 6 months ended 31/12/22 |                            |                     |                 |
|----------------------------------------------------|-----------------------------------|----------------------------|---------------------|-----------------|
|                                                    | Retail unsecured lending          | Residential mortgage loans | Corporate exposures | Total provision |
| <b>Individually assessed provisions</b>            | <b>-</b>                          | <b>-</b>                   | <b>1</b>            | <b>1</b>        |
| <b>Collectively assessed provisions</b>            |                                   |                            |                     |                 |
| Modelled ECL on loans and advances                 | 7                                 | 22                         | 34                  | 63              |
| ECL allowance on undrawn facilities                | 2                                 | 2                          | 5                   | 9               |
| Judgemental modelled overlays - interest repricing | -                                 | 3                          | -                   | 3               |
| Other judgemental overlays                         | 1                                 | 5                          | 4                   | 10              |
| <b>Total collectively assessed provisions</b>      | <b>10</b>                         | <b>32</b>                  | <b>43</b>           | <b>85</b>       |
| <b>Total credit impairment provisions</b>          | <b>10</b>                         | <b>32</b>                  | <b>44</b>           | <b>86</b>       |

# Notes to the interim financial statements

## 5. Asset quality continued

| Dollars in millions                             | Audited year ended 30/06/22 |                            |                     |                 |
|-------------------------------------------------|-----------------------------|----------------------------|---------------------|-----------------|
|                                                 | Retail unsecured lending    | Residential mortgage loans | Corporate exposures | Total provision |
| <b>Individually assessed provisions</b>         | -                           | -                          | 1                   | 1               |
| <b>Collectively assessed provisions</b>         |                             |                            |                     |                 |
| Modelled ECL on loans and advances              | 7                           | 19                         | 25                  | 51              |
| ECL allowance on undrawn facilities             | 2                           | 2                          | 4                   | 8               |
| Judgemental model overlays - interest repricing | -                           | 5                          | -                   | 5               |
| Other judgemental overlays                      | 1                           | 5                          | 4                   | 10              |
| <b>Total collectively assessed provisions</b>   | 10                          | 31                         | 33                  | 74              |
| <b>Total credit impairment provisions</b>       | 10                          | 31                         | 34                  | 75              |

### Changes in model overlays

#### *Judgemental model overlays – interest repricing*

KiwiBank has an overlay that covers the risk that some more highly leveraged home loan borrowers may be unable to maintain loan payments as their loans reprice on to higher interest rates. The methodology to calculate this overlay has changed since the overlay was first established in June 2022 to reflect the actual interest rate profile and customer responses as home loan interest rates were reset over the latest six-month period. KiwiBank continues to monitor impacted customers and has identified no material credit deterioration to date as strong wage growth and customer changes to discretionary expenses have largely offset the impact of rising home loan interest rates. The Banking Group will continue to monitor and reassess this overlay. The overlay is expected to be released as customers reprice on to higher interest rates and any impacted customers move to credit provision stage 2 (significant increase in credit risk) which is expected over the next 18 months.

#### *Other judgemental overlays*

Model overlays are required in circumstances where it is judged that the existing inputs, assumptions and model techniques do not capture all the risk factors relevant to the Banking Group's lending portfolios. The Banking Group holds a number of overlays reflecting credit risks that are not yet incorporated into ECL models due to data gaps in limited loss histories, limitations in model design and for risk drivers the Banking Group is unable to currently estimate with sufficient precision. These are expected to be maintained long term, unless the current limitations can be incorporated into future ECL models. These management adjustments are reviewed every six months. Apart from the interest repricing overlay noted above, there have been no significant changes to the approaches used in determining the overlays applied as at 31 December 2022, compared to 30 June 2022.

### Changes in ECL model assumptions and inputs

The modelled provision for ECL is an estimate of forward-looking losses based on the Banking Group's view of four different economic scenarios. KiwiBank's assumptions around the macroeconomic factors used within each scenario and the weighting applied to each scenario are key judgements applied to the ECL models. The Banking Group has adjusted the macroeconomic variables used in the ECL model based on current economic forecasts. The weightings assigned to each scenario have been reassessed and retained. That assessment reflects the continuing high levels of uncertainty around the economic forecasts for the domestic economy and the potential for both the global and domestic economy to deteriorate more than expected over the forecast period.

The Banking Group's four macroeconomic scenarios have been updated during the period ended 31 December 2022 as follows:

- **Central scenario:** this is the Banking Group's base case scenario which assumes the domestic economy experiences three quarters of recessionary conditions as the RBNZ delivers a 5.5% cash rate by June 2023, with interest rate cuts expected from December 2023. The economy then returns to low GDP growth from June 2024. Unemployment increases from current levels but remains relatively low compared to previous recessions due to strong underlying demand, particularly for skilled labour. House prices fall further before stabilising with house prices increasing again in financial year 2024. Inflation begins to fall slowly from 2023.
- **Upside scenario:** this scenario reflects more favourable macroeconomic conditions than the central scenario which leads to lower credit losses. The upside scenario has more resilient domestic demand allowing the economy to recover more quickly from recession compared with the central scenario.
- **Downside scenario:** this scenario reflects more unfavourable macroeconomic conditions than the central scenario as it assumes a global downturn along with domestic policy tightening having a greater than planned impact, generating a longer and deeper domestic recession. This scenario will lead to increased credit losses as unemployment increases and house prices fall further than under the central scenario. Those credit impacts are partially offset by interest rates reducing more quickly in order to support domestic demand.
- **Severe stress scenario:** this scenario is based on the severe economic stress test scenarios that are used in RBNZ's 2022 industry stress test. It reflects a prolonged contraction of the economy and more severe impacts on house prices in an environment where interest rates and unemployment remain elevated.



# Notes to the interim financial statements

## 5. Asset quality continued

The changes in the variables and weighting used at 31 December 2022 compared to 30 June 2022 are presented below.

### Changes in scenario variables increase/(decrease)

| Unaudited as at 31/12/22 |                                        | Forecast financial year |         |         |
|--------------------------|----------------------------------------|-------------------------|---------|---------|
| Scenario                 | Macroeconomic assumption               | 2023                    | 2024    | 2025    |
| Central                  | GDP (annual % change)                  | 2.5%                    | (0.1%)  | 2.4%    |
|                          | Unemployment rate                      | 3.7%                    | 5.1%    | 4.7%    |
|                          | House price index (annual % change)    | (13.0%)                 | 2.8%    | 3.7%    |
|                          | Consumer price index (annual % change) | 6.0%                    | 2.4%    | 2.0%    |
|                          | 90-day bank bill rate                  | 5.7%                    | 5.0%    | 3.8%    |
| Upside                   | GDP (annual % change)                  | 2.8%                    | 0.5%    | 2.4%    |
|                          | Unemployment rate                      | 3.6%                    | 4.5%    | 4.7%    |
|                          | House price index (annual % change)    | (5.4%)                  | 3.5%    | 3.5%    |
|                          | Consumer price index (annual % change) | 6.1%                    | 2.6%    | 2.1%    |
|                          | 90-day bank bill rate                  | 5.8%                    | 5.5%    | 4.0%    |
| Downside                 | GDP (annual % change)                  | 1.8%                    | (1.0%)  | 4.5%    |
|                          | Unemployment rate                      | 4.4%                    | 6.0%    | 5.4%    |
|                          | House price index (annual % change)    | (18.5%)                 | 2.9%    | 3.8%    |
|                          | Consumer price index (annual % change) | 5.4%                    | 2.1%    | 1.9%    |
|                          | 90-day bank bill rate                  | 5.0%                    | 2.5%    | 2.8%    |
| Severe stress            | GDP (annual % change)                  | 1.4%                    | (3.3%)  | (0.9%)  |
|                          | Unemployment rate                      | 4.2%                    | 7.0%    | 8.7%    |
|                          | House price index (annual % change)    | (17.8%)                 | (21.9%) | (13.3%) |
|                          | Consumer price index (annual % change) | 6.3%                    | 4.9%    | 4.5%    |
|                          | 90-day bank bill rate                  | 5.3%                    | 7.3%    | 8.7%    |

| Audited as at 30/06/22 |                                        | Forecast financial year |         |         |
|------------------------|----------------------------------------|-------------------------|---------|---------|
| Scenario               | Macroeconomic assumption               | 2023                    | 2024    | 2025    |
| Central                | GDP (annual % change)                  | 3.0%                    | 1.9%    | 1.8%    |
|                        | Unemployment rate                      | 3.7%                    | 4.1%    | 4.2%    |
|                        | House price index (annual % change)    | (3.0%)                  | 4.3%    | 2.5%    |
|                        | Consumer price index (annual % change) | 2.5%                    | 2.2%    | 2.1%    |
|                        | 90-day bank bill rate                  | 3.8%                    | 3.4%    | 3.2%    |
| Upside                 | GDP (annual % change)                  | 3.6%                    | 2.3%    | 2.5%    |
|                        | Unemployment rate                      | 3.3%                    | 3.8%    | 4.1%    |
|                        | House price index (annual % change)    | 3.7%                    | 2.6%    | 3.4%    |
|                        | Consumer price index (annual % change) | 2.2%                    | 2.1%    | 2.0%    |
|                        | 90-day bank bill rate                  | 3.1%                    | 3.0%    | 2.4%    |
| Downside               | GDP (annual % change)                  | (1.4%)                  | 2.9%    | 2.2%    |
|                        | Unemployment rate                      | 5.2%                    | 4.6%    | 4.4%    |
|                        | House price index (annual % change)    | (9.9%)                  | 4.3%    | 3.5%    |
|                        | Consumer price index (annual % change) | 5.6%                    | 2.3%    | 2.1%    |
|                        | 90-day bank bill rate                  | 4.8%                    | 3.9%    | 3.3%    |
| Severe stress          | GDP (annual % change)                  | (0.4%)                  | (2.6%)  | 0.3%    |
|                        | Unemployment rate                      | 6.7%                    | 9.4%    | 9.2%    |
|                        | House price index (annual % change)    | (15.0%)                 | (15.0%) | (10.0%) |
|                        | Consumer price index (annual % change) | 0.1%                    | (0.1%)  | 0.3%    |
|                        | 90-day bank bill rate                  | 2.4%                    | 2.4%    | 2.4%    |

# Notes to the interim financial statements

## 5. Asset quality continued

### Changes in scenario weightings

The weightings applied to each scenario have been reviewed and remain unchanged from the weightings applied at 30 June 2022. The weightings applied to the scenarios in the calculation of ECL as at 31 December 2022 are set out below.

| Scenario weighting applied | Unaudited as at 31/12/22 | Audited as at 30/06/22 |
|----------------------------|--------------------------|------------------------|
| Central                    | <b>45%</b>               | 45%                    |
| Upside                     | <b>10%</b>               | 10%                    |
| Downside                   | <b>35%</b>               | 35%                    |
| Severe stress              | <b>10%</b>               | 10%                    |

The weightings as at 31 December 2022 reflect a central forecast of a slow but shallow recession impacting the domestic economy in 2023 before slow GDP growth returns in 2024. However, there are significant downside risks to the current forecast as global growth rates continue to slow and if local unemployment rates, inflation and interest rates rise to higher levels than currently expected.

### Sensitivity of ECL to key judgements and assumptions

The assumptions which underpin each scenario and the weightings applied may vary significantly from the actual track of the economy. Other events, including those with a low likelihood but a high impact on the economy and on credit losses, might also occur over the forecast period so that the actual economy might perform differently to the scenarios modelled. Those variances will result in an understatement or overstatement of the credit impairment provision. Given this uncertainty, and as the impact of judgements is significant, a sensitivity analysis is included below to outline the impact of applying different scenario weightings and overlay assumptions on the level of ECL.

The following table outlines the sensitivity of ECL to the key factors used to determine provisions as at 31 December 2022. This sensitivity includes giving each economic scenario a 100% weighting, adjusting some model overlays to reflect those scenario conditions while holding all other modelling factors constant.

| Dollars in millions                              | Unaudited as at 31/12/22 |             |
|--------------------------------------------------|--------------------------|-------------|
|                                                  | Total ECL                | Impact      |
| If 1% of stage 1 exposure transitions to stage 2 | <b>92</b>                | <b>6</b>    |
| If 1% of stage 2 exposure transitions to stage 1 | <b>86</b>                | -           |
| Reported probability-weighted ECL                | <b>86</b>                | -           |
| 100% upside scenario ECL                         | <b>54</b>                | <b>(32)</b> |
| 100% central scenario ECL                        | <b>74</b>                | <b>(12)</b> |
| 100% downside scenario ECL                       | <b>101</b>               | <b>15</b>   |
| 100% severe stress ECL                           | <b>126</b>               | <b>40</b>   |

The sensitivity outlined above represents the Banking Group's best estimate of the range of reasonably plausible outcomes but, due to economic uncertainty, the actual range might be significantly greater.

# Notes to the interim financial statements

## 5. Asset quality continued

### Summary of lending

| Dollars in millions             | Unaudited 6 months ended 31/12/22 |                            |                     |               |
|---------------------------------|-----------------------------------|----------------------------|---------------------|---------------|
|                                 | Retail unsecured lending          | Residential mortgage loans | Corporate exposures | Total         |
| Neither past due nor impaired   | 371                               | 24,810                     | 3,602               | 28,783        |
| Past due but not impaired       | 14                                | 127                        | 47                  | 188           |
| Impaired                        | -                                 | 1                          | 3                   | 4             |
| <b>Gross loans and advances</b> | <b>385</b>                        | <b>24,938</b>              | <b>3,652</b>        | <b>28,975</b> |
| Credit impairment provision     | (8)                               | (30)                       | (39)                | (77)          |
| Fair value hedge adjustments    | -                                 | -                          | -                   | -             |
| <b>Net loans and advances</b>   | <b>377</b>                        | <b>24,908</b>              | <b>3,613</b>        | <b>28,898</b> |

### Loans and advances past due but not individually impaired

| Dollars in millions                                                    | Unaudited 6 months ended 31/12/22 |                            |                     |            |
|------------------------------------------------------------------------|-----------------------------------|----------------------------|---------------------|------------|
|                                                                        | Retail unsecured lending          | Residential mortgage loans | Corporate exposures | Total      |
| Past due less than 30 days                                             | 12                                | 88                         | 39                  | 139        |
| Past due 30 - 59 days                                                  | 1                                 | 19                         | 5                   | 25         |
| Past due 60 - 89 days                                                  | 1                                 | 5                          | -                   | 6          |
| Past due 90 days or greater                                            | -                                 | 15                         | 3                   | 18         |
| <b>Total loans and advances past due but not individually impaired</b> | <b>14</b>                         | <b>127</b>                 | <b>47</b>           | <b>188</b> |

### Other asset quality information

| Dollars in millions                                                             | Unaudited 6 months ended 31/12/22 |                            |                     |       |
|---------------------------------------------------------------------------------|-----------------------------------|----------------------------|---------------------|-------|
|                                                                                 | Retail unsecured lending          | Residential mortgage loans | Corporate exposures | Total |
| Undrawn lending commitments to counterparties with individually impaired assets | -                                 | -                          | -                   | -     |
| Other assets under administration                                               | -                                 | 1                          | -                   | 1     |

### Movement in credit impairment provision and gross carrying amounts

The following pages include tables summarising the movement in credit impairment provision split by category of retail unsecured lending, residential mortgage loans, and corporate exposures. Aggregate information for all categories is presented also.

The movement tables are presented on the following basis:

- Additions are amounts from new commitments and facilities drawn during the period.
- Deletions are amounts repaid or closed and commitments utilised or closed during the period.
- Transfers between ECL stages show the impact of the initial transfer calculated on the net movements between the start of the period and the end of the period.
- Net remeasurement of loss allowance includes the subsequent increase or decrease of the provision for transferred amounts and the impact of changes in credit quality of existing lending.
- Other changes in ECL includes the impact of non-significant changes in the credit quality of existing lending, changes in future economic forecast assumptions and other model or overlay changes.

### Definitions

"**Credit impaired asset**" means any credit exposures against which an individually assessed provision has been recorded in accordance with NZ IFRS 9 – *Financial instruments*, and any loan which has not been operated by the borrower within its key terms for at least 90 days.

An "**asset under administration**" is any credit exposure which is not a credit impaired asset, but is to a counterparty who is in receivership, liquidation, bankruptcy, statutory management or any form of administration. These are classified as "other assets under administration" and reported separately.

'Charged/(credited) to income statement for collectively assessed provisions' is referenced as 'Charged/(credited) to IS for CP' in the following tables.

'Charged/(credited) to income statement for individually assessed provisions' is referenced as 'Charged/(credited) to IS for IP' in the following tables.

# Notes to the interim financial statements

## 5. Asset quality continued

### Movement in credit impairment provision – retail unsecured lending

| Dollars in millions                                           | Unaudited 6 months ended 31/12/22 |                       |                       |                       | Total     |
|---------------------------------------------------------------|-----------------------------------|-----------------------|-----------------------|-----------------------|-----------|
|                                                               | Stage 1                           | Stage 2               | Stage 3               |                       |           |
|                                                               | Collectively assessed             | Collectively assessed | Collectively assessed | Individually assessed |           |
| Total credit impairment provision at start of the period      | 5                                 | 5                     | -                     | -                     | 10        |
| Transfers between stages                                      | -                                 | -                     | -                     | -                     | -         |
| Net remeasurement of loss allowances                          | -                                 | 1                     | -                     | -                     | 1         |
| Changes due to additions and deletions                        | -                                 | -                     | -                     | -                     | -         |
| Changes due to amounts written off                            | -                                 | (1)                   | -                     | -                     | (1)       |
| Other changes                                                 | -                                 | -                     | -                     | -                     | -         |
| Charged/(credited) to IS for CP                               | -                                 | -                     | -                     | -                     | -         |
| New and increased provisions                                  | -                                 | -                     | -                     | -                     | -         |
| Write-back of provisions no longer required                   | -                                 | -                     | -                     | -                     | -         |
| Charged/(credited) to IS for IP                               | -                                 | -                     | -                     | -                     | -         |
| Amounts written off from individually assessed provisions     | -                                 | -                     | -                     | -                     | -         |
| <b>Total credit impairment provision</b>                      | <b>5</b>                          | <b>5</b>              | <b>-</b>              | <b>-</b>              | <b>10</b> |
| Credit impairment provision on loans and advances             | 4                                 | 4                     | -                     | -                     | 8         |
| Credit impairment provision on undrawn commitments            | 1                                 | 1                     | -                     | -                     | 2         |
| <b>Total credit impairment provision at end of the period</b> | <b>5</b>                          | <b>5</b>              | <b>-</b>              | <b>-</b>              | <b>10</b> |

| Impact of changes in gross carrying amount and credit commitments on ECL – retail unsecured lending |            |           |          |          |            |
|-----------------------------------------------------------------------------------------------------|------------|-----------|----------|----------|------------|
| Gross carrying amount at start of the period                                                        | 288        | 79        | 1        | -        | 368        |
| Net transfers between stages                                                                        | (1)        | 1         | -        | -        | -          |
| Additions                                                                                           | 96         | 13        | -        | -        | 109        |
| Deletions                                                                                           | (81)       | (10)      | -        | -        | (91)       |
| Amounts written off                                                                                 | -          | (1)       | -        | -        | (1)        |
| <b>Gross carrying amount at end of the period</b>                                                   | <b>302</b> | <b>82</b> | <b>1</b> | <b>-</b> | <b>385</b> |
| Off-balance sheet credit commitments at start of the period                                         | 869        | 20        | -        | -        | 889        |
| Net transfers between stages                                                                        | (5)        | 5         | -        | -        | -          |
| Additions                                                                                           | 90         | 6         | -        | -        | 96         |
| Deletions                                                                                           | (117)      | (11)      | -        | -        | (128)      |
| <b>Off-balance sheet credit commitments at end of the period</b>                                    | <b>837</b> | <b>20</b> | <b>-</b> | <b>-</b> | <b>857</b> |

Credit impairment provisions on retail unsecured lending were unchanged over the six months with changes due to remeasurement (+\$1m) offset by write-offs from the portfolio (-\$1m).

# Notes to the interim financial statements

## 5. Asset quality continued

### Movement in credit impairment provision – residential mortgage loans

| Dollars in millions                                           | Unaudited 6 months ended 31/12/22 |                       |                       |                       | Total     |
|---------------------------------------------------------------|-----------------------------------|-----------------------|-----------------------|-----------------------|-----------|
|                                                               | Stage 1                           | Stage 2               | Stage 3               |                       |           |
|                                                               | Collectively assessed             | Collectively assessed | Collectively assessed | Individually assessed |           |
| Total credit impairment provision at start of the period      | 20                                | 9                     | 2                     | -                     | 31        |
| Transfers between stages                                      | 3                                 | (2)                   | (1)                   | -                     | -         |
| Net remeasurement of loss allowances                          | (3)                               | 3                     | 2                     | -                     | 2         |
| Changes due to additions and deletions                        | (1)                               | -                     | -                     | -                     | (1)       |
| Changes due to amounts written off                            | -                                 | -                     | -                     | -                     | -         |
| Other changes                                                 | (1)                               | 1                     | -                     | -                     | -         |
| (Credited)/charged to IS for CP                               | (5)                               | 4                     | 2                     | -                     | 1         |
| New and increased provisions                                  | -                                 | -                     | -                     | -                     | -         |
| Write-back of provisions no longer required                   | -                                 | -                     | -                     | -                     | -         |
| Charged/(credited) to IS for IP                               | -                                 | -                     | -                     | -                     | -         |
| Amounts written off from individually assessed provisions     | -                                 | -                     | -                     | -                     | -         |
| <b>Total credit impairment provision</b>                      | <b>18</b>                         | <b>11</b>             | <b>3</b>              | <b>-</b>              | <b>32</b> |
| Credit impairment provision on loans and advances             | 16                                | 11                    | 3                     | -                     | 30        |
| Credit impairment provision on undrawn commitments            | 2                                 | -                     | -                     | -                     | 2         |
| <b>Total credit impairment provision at end of the period</b> | <b>18</b>                         | <b>11</b>             | <b>3</b>              | <b>-</b>              | <b>32</b> |

| Impact of changes in gross carrying amount and credit commitments on ECL – residential mortgage loans |               |            |           |          |               |
|-------------------------------------------------------------------------------------------------------|---------------|------------|-----------|----------|---------------|
| Gross carrying amount at start of the period                                                          | 23,604        | 678        | 18        | -        | 24,300        |
| Net transfers between stages                                                                          | (42)          | 32         | 9         | 1        | -             |
| Additions                                                                                             | 2,948         | 36         | 1         | -        | 2,985         |
| Deletions                                                                                             | (2,263)       | (79)       | (5)       | -        | (2,347)       |
| Amounts written off                                                                                   | -             | -          | -         | -        | -             |
| <b>Gross carrying amount at end of the period</b>                                                     | <b>24,247</b> | <b>667</b> | <b>23</b> | <b>1</b> | <b>24,938</b> |
| Off-balance sheet credit commitments at start of the period                                           | 2,722         | 29         | -         | -        | 2,751         |
| Net transfers between stages                                                                          | (6)           | 6          | -         | -        | -             |
| Additions                                                                                             | 668           | 5          | -         | -        | 673           |
| Deletions                                                                                             | (670)         | (13)       | -         | -        | (683)         |
| <b>Off-balance sheet credit commitments at end of the period</b>                                      | <b>2,714</b>  | <b>27</b>  | <b>-</b>  | <b>-</b> | <b>2,741</b>  |

The increase of \$1m in credit impairment provisions on residential mortgage loans reflects:

- increase in ECL due to \$0.6bn net growth in exposures was partly offset by a decrease in management overlays (-\$1m);
- remeasurement of ECL as a result of exposures migrating to higher risk grades (+\$2m); and
- changes to the economic scenarios (+\$1m) were offset by other model changes (-\$1m).

### Reconciliation of mortgage-related amounts – off-balance sheet exposures

| Dollars in millions                                                               | 31/12/22     |
|-----------------------------------------------------------------------------------|--------------|
| <b>Gross residential mortgage loans per asset quality</b>                         | <b>2,741</b> |
| Adjustment for credit conversion factor                                           | (1,934)      |
| <b>Residential mortgages total off-balance sheet exposures (Capital Adequacy)</b> | <b>807</b>   |

# Notes to the interim financial statements

## 5. Asset quality continued

### Movement in credit impairment provision – corporate exposures

| Dollars in millions                                           | Unaudited 6 months ended 31/12/22 |                       |                       |                       | Total     |
|---------------------------------------------------------------|-----------------------------------|-----------------------|-----------------------|-----------------------|-----------|
|                                                               | Stage 1                           | Stage 2               | Stage 3               |                       |           |
|                                                               | Collectively assessed             | Collectively assessed | Collectively assessed | Individually assessed |           |
| Total credit impairment provision at start of the period      | 23                                | 9                     | 1                     | 1                     | 34        |
| Transfers between stages                                      | 1                                 | (1)                   | -                     | -                     | -         |
| Net remeasurement of loss allowances                          | (1)                               | 3                     | -                     | -                     | 2         |
| Changes due to additions and deletions                        | 7                                 | 1                     | -                     | -                     | 8         |
| Changes due to amounts written off                            | -                                 | -                     | -                     | -                     | -         |
| Other changes                                                 | (1)                               | -                     | -                     | -                     | (1)       |
| (Credited)/charged to IS for CP                               | 5                                 | 4                     | -                     | -                     | 9         |
| New and increased provisions                                  | -                                 | -                     | -                     | 1                     | 1         |
| Write-back of provisions no longer required                   | -                                 | -                     | -                     | -                     | -         |
| Charged/(credited) to IS for IP                               | -                                 | -                     | -                     | 1                     | 1         |
| Amounts written off from individually assessed provisions     | -                                 | -                     | -                     | -                     | -         |
| <b>Total credit impairment provision</b>                      | <b>29</b>                         | <b>12</b>             | <b>1</b>              | <b>2</b>              | <b>44</b> |
| Credit impairment provision on loans and advances             | 25                                | 11                    | 1                     | 2                     | 39        |
| Credit impairment provision on undrawn commitments            | 4                                 | 1                     | -                     | -                     | 5         |
| <b>Total credit impairment provision at end of the period</b> | <b>29</b>                         | <b>12</b>             | <b>1</b>              | <b>2</b>              | <b>44</b> |

| Impact of changes in gross carrying amount and credit commitments on ECL – corporate exposures |              |            |          |          |              |
|------------------------------------------------------------------------------------------------|--------------|------------|----------|----------|--------------|
| Gross carrying amount at start of the period                                                   | 3,010        | 134        | 4        | 2        | 3,150        |
| Net transfers between stages                                                                   | (42)         | 38         | 2        | 2        | -            |
| Additions                                                                                      | 1,211        | 33         | 1        | 1        | 1,246        |
| Deletions                                                                                      | (720)        | (21)       | (1)      | (1)      | (743)        |
| Amounts written off                                                                            | -            | -          | -        | (1)      | (1)          |
| <b>Gross carrying amount at end of the period</b>                                              | <b>3,459</b> | <b>184</b> | <b>6</b> | <b>3</b> | <b>3,652</b> |
| Off-balance sheet credit commitments at start of the period                                    | 888          | 21         | 1        | -        | 910          |
| Net transfers between stages                                                                   | (4)          | 4          | -        | -        | -            |
| Additions                                                                                      | 508          | 10         | -        | -        | 518          |
| Deletions                                                                                      | (332)        | (7)        | -        | -        | (339)        |
| <b>Off-balance sheet credit commitments at end of the period</b>                               | <b>1,060</b> | <b>28</b>  | <b>1</b> | <b>-</b> | <b>1,089</b> |

The increase of \$10m in credit impairment provisions on corporate exposures reflects:

- increase in ECL (+\$8m) due to growth in exposures (+\$681m);
- remeasurement of ECL as a result of changes in credit risk (+\$2m), and
- reductions in ECL due to other model changes (-\$1m) offset by increases in individual provisions (+\$1m).

# Notes to the interim financial statements

## 5. Asset quality continued

### Movement in credit impairment provision – total exposures

| Dollars in millions                                           | Unaudited 6 months ended 31/12/22 |                       |                       |                       | Total     |
|---------------------------------------------------------------|-----------------------------------|-----------------------|-----------------------|-----------------------|-----------|
|                                                               | Stage 1                           | Stage 2               | Stage 3               |                       |           |
|                                                               | Collectively assessed             | Collectively assessed | Collectively assessed | Individually assessed |           |
| Total credit impairment provision at start of the period      | 48                                | 23                    | 3                     | 1                     | 75        |
| Transfers between stages                                      | 4                                 | (3)                   | (1)                   | -                     | -         |
| Net remeasurement of loss allowances                          | (4)                               | 7                     | 2                     | -                     | 5         |
| Changes due to additions and deletions                        | 6                                 | 1                     | -                     | -                     | 7         |
| Changes due to amounts written off                            | -                                 | (1)                   | -                     | -                     | (1)       |
| Other changes                                                 | (2)                               | 1                     | -                     | -                     | (1)       |
| (Credited)/charged to IS for CP                               | -                                 | 8                     | 2                     | -                     | 10        |
| New and increased provisions                                  | -                                 | -                     | -                     | 1                     | 1         |
| Write-back of provisions no longer required                   | -                                 | -                     | -                     | -                     | -         |
| Charged/(credited) to IS for IP                               | -                                 | -                     | -                     | 1                     | 1         |
| Amounts written off from individually assessed provisions     | -                                 | -                     | -                     | -                     | -         |
| <b>Total credit impairment provision</b>                      | <b>52</b>                         | <b>28</b>             | <b>4</b>              | <b>2</b>              | <b>86</b> |
| Credit impairment provision on loans and advances             | 45                                | 26                    | 4                     | 2                     | 77        |
| Credit impairment provision on undrawn commitments            | 7                                 | 2                     | -                     | -                     | 9         |
| <b>Total credit impairment provision at end of the period</b> | <b>52</b>                         | <b>28</b>             | <b>4</b>              | <b>2</b>              | <b>86</b> |

| Impact of changes in gross carrying amount and credit commitments on ECL – total exposures |               |            |           |          |               |
|--------------------------------------------------------------------------------------------|---------------|------------|-----------|----------|---------------|
| Gross carrying amount at start of the period                                               | 26,902        | 891        | 23        | 2        | 27,818        |
| Net transfers between stages                                                               | (85)          | 71         | 11        | 3        | -             |
| Additions                                                                                  | 4,255         | 82         | 2         | 1        | 4,340         |
| Deletions                                                                                  | (3,064)       | (110)      | (6)       | (1)      | (3,181)       |
| Amounts written off                                                                        | -             | (1)        | -         | (1)      | (2)           |
| <b>Gross carrying amount at end of the period</b>                                          | <b>28,008</b> | <b>933</b> | <b>30</b> | <b>4</b> | <b>28,975</b> |
| Off-balance sheet credit commitments at start of the period                                | 4,479         | 70         | 1         | -        | 4,550         |
| Net transfers between stages                                                               | (15)          | 15         | -         | -        | -             |
| Additions                                                                                  | 1,266         | 21         | -         | -        | 1,287         |
| Deletions                                                                                  | (1,119)       | (31)       | -         | -        | (1,150)       |
| <b>Off-balance sheet credit commitments at end of the period</b>                           | <b>4,611</b>  | <b>75</b>  | <b>1</b>  | <b>-</b> | <b>4,687</b>  |

# Notes to the interim financial statements

## 5. Asset quality continued

### ***Credit quality of financial assets neither past due nor impaired***

A large portion of the credit exposures, such as residential and commercial mortgages, are secured. That is, the fair value of associated security is sufficient to ensure that the Banking Group will recover the entire amount owing over the life of the facility and there is reasonable assurance that collection efforts will result in payment of the amounts due in a timely manner.

The credit quality of loans and advances to customers that were neither past due nor impaired can be assessed by reference to the Banking Group's credit scoring systems. At the origination of loans and advances to customers, retail advances are assessed on a combination of debt-servicing ability, demographic characteristics and loan-to-valuation ("**LVR**") ratios. Non-retail advances are individually risk-graded against similar characteristics. The behavioural credit characteristics are reviewed periodically for adverse changes during the loan's life. Interest continues to be accrued on all loans. No interest has been foregone.

### ***Credit quality of other financial assets***

In addition to assessing impairment for loans and advances, the Banking Group has assessed impairment for cash and cash equivalents, due from other financial institutions, investment securities and other financial assets. All of these financial assets are considered of high credit quality and are neither past due nor impaired. The identified impairment loss for all other financial assets, excluding loans and advances, was immaterial.

### ***Credit risk-related adjustments to financial assets at fair value***

Credit impairment gains recognised through other comprehensive income in relation to ECL on Investment Securities held at fair value through other comprehensive income in the six months ended 31 December 2022 were insignificant (31 December 2021: \$0.1m, 30 June 2022: \$0.1m).

Credit Valuation Adjustments ("**CVA**") and Debit Valuation Adjustments ("**DVA**") are included in the valuations of Derivative Financial Instruments and these adjustments are recognised within net gains on financial instruments in the income statement. A total net loss of \$(0.3)m (post tax) was recognised in the income statement related to CVA and DVA during the six months ended 31 December 2022 (31 December 2021: \$0.5m, 30 June 2022: \$1.1m). As at 31 December 2022, the closing balance for CVA/DVA is \$0.8m (31 December 2021: \$0.3m, 30 June 2022: \$1.2m).



# Notes to the interim financial statements

## 6. Concentration of credit risk

| Dollars in millions                             | Unaudited as at 31/12/22                   |                                     |                                       |
|-------------------------------------------------|--------------------------------------------|-------------------------------------|---------------------------------------|
|                                                 | On-balance<br>sheet<br>financial<br>assets | Off-balance<br>sheet<br>commitments | Maximum<br>exposure to<br>credit risk |
| <b>New Zealand</b>                              |                                            |                                     |                                       |
| Agriculture                                     | 23                                         | 7                                   | 30                                    |
| Food & other manufacturing                      | 353                                        | 145                                 | 498                                   |
| Electricity, gas and water                      | 23                                         | 6                                   | 29                                    |
| Construction                                    | 672                                        | 439                                 | 1,111                                 |
| Retail and wholesale trade                      | 407                                        | 134                                 | 541                                   |
| Transport and storage                           | 230                                        | 38                                  | 268                                   |
| Communications                                  | 27                                         | 8                                   | 35                                    |
| Finance, investment and insurance               | 934                                        | 75                                  | 1,009                                 |
| Property and business services                  | 2,572                                      | 196                                 | 2,768                                 |
| Professional, scientific and technical services | 109                                        | 36                                  | 145                                   |
| Government, local authorities and services      | 2,324                                      | 1                                   | 2,325                                 |
| Education                                       | 20                                         | 6                                   | 26                                    |
| Personal and other services                     | 128                                        | 31                                  | 159                                   |
| Health and community services                   | 139                                        | 41                                  | 180                                   |
| Households                                      | 24,129                                     | 3,516                               | 27,645                                |
| <b>Overseas</b>                                 |                                            |                                     |                                       |
| Finance, investment and insurance               | 1,116                                      | 8                                   | 1,124                                 |
| <b>Total credit exposure</b>                    | <b>33,206</b>                              | <b>4,687</b>                        | <b>37,893</b>                         |
| Less credit impairment provision                | (77)                                       | (9)                                 | (86)                                  |
| Other financial assets                          | 51                                         | -                                   | 51                                    |
| <b>Total</b>                                    | <b>33,180</b>                              | <b>4,678</b>                        | <b>37,858</b>                         |

Australian and New Zealand Standard Industrial Classification ("ANZSIC") codes have been used as the basis for disclosing customer industry sectors in the above table.

# Notes to the interim financial statements

## 6. Concentration of credit risk continued

### Maximum exposure to credit risk

| Dollars in millions                   | Unaudited as at 31/12/22                   |                                     |                                       |
|---------------------------------------|--------------------------------------------|-------------------------------------|---------------------------------------|
|                                       | On-balance<br>sheet<br>financial<br>assets | Off-balance<br>sheet<br>commitments | Maximum<br>exposure to<br>credit risk |
| <b>Credit risk exposure</b>           |                                            |                                     |                                       |
| Loans and advances                    | 28,975                                     | 4,687                               | 33,662                                |
| Due from other financial institutions | 116                                        | -                                   | 116                                   |
| Derivative financial instruments      | 554                                        | -                                   | 554                                   |
| Investment securities                 | 2,115                                      | -                                   | 2,115                                 |
| Cash and cash equivalents             | 1,446                                      | -                                   | 1,446                                 |
| Other financial assets                | 51                                         | -                                   | 51                                    |
| <b>Subtotal</b>                       | <b>33,257</b>                              | <b>4,687</b>                        | <b>37,944</b>                         |
| Less credit impairment provision      | (77)                                       | (9)                                 | (86)                                  |
| <b>Total</b>                          | <b>33,180</b>                              | <b>4,678</b>                        | <b>37,858</b>                         |

The table above represents the maximum net credit risk exposure of the Banking Group at 31 December 2022. The exposures set out are based on net carrying amounts as reported in the balance sheet.

The exposure of the Banking Group derived from loans and advances to retail and corporate customers is 89% of the total maximum exposure (31 December 2021: 88%, 30 June 2022: 90%).

### Collateral management

The Banking Group holds financial charges over borrowers' specific assets and is able to enforce the collateral in satisfying the debt in the event borrowers fail to meet contractual obligations. The collateral held for mitigating credit risk for the Banking Group's lending portfolios is outlined below.

#### Retail unsecured lending

Retail unsecured lending includes credit cards and overdrafts and is an unsecured portfolio. As at 31 December 2022, 100% of the maximum credit exposure is unsecured.

#### Residential mortgage loans

Residential mortgages are secured by a charge over borrowers' residential property. Additional security can also include a charge over deposits and guarantees from borrowers' related parties. As at 31 December 2022, 99.4% is fully secured and 0.6% is partially secured.

#### Corporate exposures

Corporate lending is typically secured by way of a charge over property; a charge over business assets, other assets or deposits; or guarantees from borrowers' related parties. Fully secured exposures are those that have security cover greater than or equal to 100%, partially secured exposures are those that have security cover of 40.0% - 99.9% and unsecured exposures are those that have security cover less than 40.0%.

As at 31 December 2022, 57.6% is fully secured, 12.1% is partially secured and 30.3% is unsecured.

#### Collateral on credit impaired assets

As at 31 December 2022, 71.3% of the Banking Group's impaired gross loans were fully secured, 6.9% were partially secured and 21.8% were unsecured.

# Notes to the interim financial statements

## 7. Concentration of credit exposures to counterparties

### CREDIT EXPOSURE TO INDIVIDUAL COUNTERPARTIES

Credit exposure concentrations to individual counterparties at the reporting date are disclosed on the basis of actual credit exposures. Peak end-of-day aggregate credit exposures are calculated on the basis of the maximum end-of-day aggregate amount of actual credit exposures over the six-month period (gross of set-offs) divided by the Banking Group's common equity tier 1 capital ("CET1 capital") at the end of the reporting period.

The individual counterparty exposures included in the following table exclude exposures to:

- connected persons;
- the central government or central bank of any country with a long-term credit rating of A- or A3 or above, or its equivalent; and
- any supranational or quasi-sovereign agency with a long-term credit rating of A- or A3 or above, or its equivalent.

|                                                                                                                         | Unaudited<br>As at<br>31/12/22 | Unaudited<br>Peak end-of-day<br>for the<br>6 months ended<br>31/12/22 |
|-------------------------------------------------------------------------------------------------------------------------|--------------------------------|-----------------------------------------------------------------------|
| <b>Exposures to banks</b>                                                                                               |                                |                                                                       |
| Total number of exposures to banks that are greater than 10% of CET1 capital                                            | -                              | -                                                                     |
| With a long-term credit rating of A- or A3 or above, or its equivalent                                                  | -                              | -                                                                     |
| – 10% to less than 15% of CET1 capital                                                                                  | -                              | -                                                                     |
| – 15% to less than 20% of CET1 capital                                                                                  | -                              | -                                                                     |
| – 20% to less than 25% of CET1 capital                                                                                  | -                              | -                                                                     |
| – 25% to less than 30% of CET1 capital                                                                                  | -                              | -                                                                     |
| With a long-term credit rating of at least BBB- or Baa3, or its equivalent, and at most BBB+ or Baa1, or its equivalent | -                              | -                                                                     |
| <b>Exposures to non-banks</b>                                                                                           |                                |                                                                       |
| Total number of exposures to non-banks that are greater than 10% of CET1 capital                                        | 3                              | 3                                                                     |
| With a long-term credit rating of A- or A3 or above, or its equivalent                                                  | 3                              | 3                                                                     |
| – 10% to less than 15% of CET1 capital                                                                                  | 1                              | 1                                                                     |
| – 15% to less than 20% of CET1 capital                                                                                  | 2                              | 2                                                                     |
| – 20% to less than 25% of CET1 capital                                                                                  | -                              | -                                                                     |
| – 25% to less than 30% of CET1 capital                                                                                  | -                              | -                                                                     |
| With a long-term credit rating of at least BBB- or Baa3, or its equivalent, and at most BBB+ or Baa1, or its equivalent | -                              | -                                                                     |

## 8. Due from other financial institutions

|                                                                      | Unaudited<br>as at<br>31/12/22 | Unaudited<br>as at<br>31/12/21 | Audited<br>as at<br>30/06/22 |
|----------------------------------------------------------------------|--------------------------------|--------------------------------|------------------------------|
| Dollars in millions                                                  |                                |                                |                              |
| Unsettled receivables                                                | -                              | 97                             | -                            |
| Collateral paid                                                      | 116                            | 103                            | 138                          |
| <b>Total amounts due from other financial institutions - current</b> | <b>116</b>                     | <b>200</b>                     | <b>138</b>                   |

Collateral paid is the collateral pledged by Kiwibank in respect of its credit support annex obligations to derivative counterparties.

# Notes to the interim financial statements

## 9. Due to other financial institutions

|                                                            | Unaudited<br>as at | Unaudited<br>as at | Audited<br>as at |
|------------------------------------------------------------|--------------------|--------------------|------------------|
| Dollars in millions                                        | 31/12/22           | 31/12/21           | 30/06/22         |
| Cash collateral received                                   | 317                | 124                | 269              |
| Transactional balances with other financial institutions   | 48                 | 7                  | 8                |
| Repurchase agreements                                      | 1,700              | 1,589              | 1,562            |
| Short term borrowing                                       | 53                 | -                  | -                |
| <b>Total amounts due from other financial institutions</b> | <b>2,118</b>       | <b>1,720</b>       | <b>1,839</b>     |
| Current                                                    | 625                | 616                | 637              |
| Non-current                                                | 1,493              | 1,104              | 1,202            |

### Funding for Lending Programme

In November 2020, the RBNZ announced a Funding for Lending Programme ("FLP") as one of the tools to 'maintain low and stable inflation and support full employment'. The FLP allows the Bank to borrow directly from the RBNZ at the floating Official Cash Rate ("OCR"), refixed on the date that a revised OCR comes into effect, for a term of three years and is effective from 7 December 2020 to 6 December 2022.

A total of \$1,716m of residentially mortgage-backed security ("RMBS") has been pledged as approved eligible collateral. As at 31 December 2022, \$1,385m has been drawn down (31 December 2021: \$1,000m, 30 June 2022: \$1,100m).

### Term Lending Facility

In May 2020, the RBNZ established a Term Lending Facility ("TLF") to support the functioning of the Business Finance Guarantee Scheme ("BFGS"), with financing under the TLF tied to the utilisation of the BFGS. Under the TLF, each eligible counterparty in the BFGS can draw down an amount equivalent to the outstanding BFGS amount for that participant. Kiwibank's drawings under the TLF have a term of five years fixed at the then OCR of 0.25%, subject to annual renewal. The BFGS ended on 30 June 2021 and the TLF ended on 28 July 2021.

A total of \$94m of RMBS has been pledged as approved eligible collateral. As at 31 December 2022, \$79m had been drawn down (31 December 2021: \$104m, 30 June 2022: \$94m).

## 10. Deposits and other borrowings

|                                            | Unaudited<br>as at | Unaudited<br>as at | Audited<br>as at |
|--------------------------------------------|--------------------|--------------------|------------------|
| Dollars in millions                        | 31/12/22           | 31/12/21           | 30/06/22         |
| Demand deposits non-interest bearing       | 4,763              | 5,233              | 5,028            |
| Demand deposits bearing interest           | 6,413              | 6,402              | 6,383            |
| Term deposits                              | 14,086             | 12,190             | 12,805           |
| <b>Total deposits and other borrowings</b> | <b>25,262</b>      | <b>23,825</b>      | <b>24,216</b>    |
| Current                                    | 24,820             | 23,519             | 23,834           |
| Non-current                                | 442                | 306                | 382              |

Certain comparatives have been restated or reclassified, refer to Note 1.7 for further information.

In the event of the liquidation of Kiwibank, deposit holders will rank equally with all other creditors but ahead of subordinated debt holders, shareholders, and holders of perpetual preference shares. In addition, all payment obligations of Kiwibank that existed on 28 February 2017, excluding any payment obligations where the terms expressly provide that they do not have the benefit of the guarantee, are guaranteed under the Crown Guarantee but only in relation to and to the extent of those obligations.

The Kiwibank PIE Unit Trust (the "PIE Unit Trust"), established in May 2008, operates three funds: the PIE Term Deposit Fund, the Notice Fund and PIE Online Call Fund. Kiwibank Investment Management Limited is the issuer and manager (the "Manager"), Public Trust is the Supervisor and Kiwibank is the promoter of the Trust. Units in the Trust do not directly represent deposits or liabilities of Kiwibank; however, the Trust is invested exclusively in term and call deposits with Kiwibank. As at 31 December 2022, \$5,824m of the Trust's funds were invested in Kiwibank products or securities (31 December 2021: \$4,673m, 30 June 2022: \$5,215m). Kiwibank guarantees the payment obligations of the Manager and any amounts owing to Unit holders under the Trust Deed in respect of their units. Kiwibank agrees to pay to Unit holders any shortfall between the amount they may receive on redeeming their units or in the winding up of the Trust and the balance of their unit accounts.

# Notes to the interim financial statements

## 11. Debt securities issued

| Dollars in millions                 | Unaudited<br>as at<br>31/12/22 | Unaudited<br>as at<br>31/12/21 | Audited<br>as at<br>30/06/22 |
|-------------------------------------|--------------------------------|--------------------------------|------------------------------|
| <b>Short-term debt</b>              |                                |                                |                              |
| Certificates of deposit             | 385                            | 541                            | 413                          |
| <b>Long-term debt</b>               |                                |                                |                              |
| Medium term notes                   | 2,076                          | 1,638                          | 1,686                        |
| Covered bonds                       | 535                            | 530                            | 553                          |
| Fair value hedge adjustment         | (92)                           | (15)                           | (73)                         |
| <b>Total debt securities issued</b> | <b>2,904</b>                   | <b>2,694</b>                   | <b>2,579</b>                 |
| Current                             | 642                            | 802                            | 675                          |
| Non-current                         | 2,262                          | 1,892                          | 1,904                        |

The Banking Group has not redeemed any covered bonds during the six months ended 31 December 2022 (31 December 2021: nil, 30 June 2022: nil). The Banking Group has not issued any covered bonds during the six months ended 31 December 2022 (31 December 2021: nil, 30 June 2022: nil).

On 31 March 2022 the Banking Group established a USD\$10b Euro Medium Term Note programme ("EMTN"). As at 31 December 2022, the Banking Group had not issued any notes under this programme.

In the event of the liquidation of Kiwibank, holders of these debt securities, with the exception of covered bonds, will rank equally with all other creditors but ahead of subordinated debt holders, shareholders and holders of perpetual preference shares.

Kiwibank has not had any defaults of principal, interest or other breaches with respect to debt securities issued during the six months ended 31 December 2022 (31 December 2022: no defaults, 30 June 2022: no defaults).

# Notes to the interim financial statements

## 12. Subordinated debt

|                                | Unaudited<br>as at<br>31/12/22 | Unaudited<br>as at<br>31/12/21 | Audited<br>as at<br>30/06/22 |
|--------------------------------|--------------------------------|--------------------------------|------------------------------|
| Dollars in millions            |                                |                                |                              |
| Subordinated notes             | 273                            | 272                            | 272                          |
| Fair value hedge adjustments   | (25)                           | (15)                           | (22)                         |
| <b>Total subordinated debt</b> | <b>248</b>                     | <b>257</b>                     | <b>250</b>                   |
| Current                        | -                              | -                              | -                            |
| Non-current                    | 248                            | 257                            | 250                          |

The Banking Group has not issued any subordinated notes during the six months ended 31 December 2022 (31 December 2021: nil, 30 June 2022: nil).

The subordinated debt instruments on issue are subordinate to all other general liabilities of the Banking Group but ranked ahead of shareholders and holders of perpetual preference shares and are denominated in New Zealand dollars.

The Banking Group has not had any defaults of principal, interest or other breaches with respect to these liabilities during the six months ended 31 December 2022 (six months ended 31 December 2021: no defaults, year ended 30 June 2022: no defaults).

As at 31 December 2022, \$273m of subordinated debt qualified as Tier 2 capital for Capital Adequacy calculation purposes (31 December 2021: \$272m, 30 June 2022: \$272m). The contractual terms of subordinated debt instruments on issue expressly stipulate that they do not have the benefit of the Crown Guarantee.

The key terms and conditions of the subordinated debt instruments on issue are as follows:

| Instrument         | Issue date       | Amount (\$m) | Coupon rate | Next reset date  | Maturity date    |
|--------------------|------------------|--------------|-------------|------------------|------------------|
| Subordinated notes | 11 December 2020 | 275          | 2.36% p.a.  | 11 December 2025 | 11 December 2030 |

# Notes to the interim financial statements

## 13. Concentration of funding

Concentrations of funding arise where the Banking Group is funded by industries of a similar nature or in particular geographies. ANZSIC codes have been used as the basis for disclosing industry sectors. An analysis of financial liabilities by industry sector and geography at the reporting date is as follows:

| Dollars in millions                             |  | Unaudited<br>as at<br>31/12/22 |
|-------------------------------------------------|--|--------------------------------|
| <b>New Zealand</b>                              |  |                                |
| Agriculture                                     |  | 46                             |
| Food & other manufacturing                      |  | 167                            |
| Electricity, gas and water                      |  | 23                             |
| Construction                                    |  | 414                            |
| Retail and wholesale trade                      |  | 193                            |
| Transport and storage                           |  | 297                            |
| Communications                                  |  | 24                             |
| Finance, investment and insurance               |  | 5,562                          |
| Property and business services                  |  | 373                            |
| Professional, scientific and technical services |  | 403                            |
| Government, local authorities and services      |  | 647                            |
| Education                                       |  | 196                            |
| Personal and other services                     |  | 275                            |
| Health and community services                   |  | 436                            |
| Households                                      |  | 19,752                         |
| <b>Overseas</b>                                 |  |                                |
| Finance, investment and insurance               |  | 1,676                          |
| Households                                      |  | 322                            |
| Other                                           |  | 17                             |
| <b>Total funding</b>                            |  | <b>30,823</b>                  |
| Other financial liabilities                     |  | 128                            |
| <b>Total financial liabilities</b>              |  | <b>30,951</b>                  |

# Notes to the interim financial statements

## 14. Financial instruments

### Fair value measurement

Assets and liabilities carried at fair value or for which fair values are disclosed have been classified into three levels according to the quality and reliability of information used to determine the fair values. The three levels of the fair value hierarchy are defined as follows:

Level 1 – Fair value measurements are those derived from unadjusted quoted prices in active markets for identical assets or liabilities.

Level 2 – Fair value measurements are those where quoted market prices are not available, e.g. where the instrument is traded in a market that is not considered to be active or valuation techniques are used to determine fair value and where these techniques use inputs that are based significantly on observable market data.

Level 3 – Fair value measurements where at least one input which could have a significant effect on the instrument's valuation is not based on observable market data.

Unless otherwise noted, the following disclosures are provided separately for assets and liabilities at fair value and those carried at amortised cost.

There have been no transfers between levels 1 and 2 during the six months ended 31 December 2022 (six months ended 31 December 2021: no transfers; year ended 30 June 2022: no transfers). There were also no transfers into/out of level 3 during the six months ended 31 December 2022 (six months ended 31 December 2021: no transfers; year ended 30 June 2022: no transfers).

### Valuation methodology

The fair values of assets and liabilities carried at fair value were determined by application of the following methods and assumptions.

#### Investment securities

Estimates of fair value for investment securities are based on quoted market prices (mid-price) or determined using market-accepted valuation models as appropriate (including discounted cash flow models) with inputs including an interest rate yield curve developed from quoted rates and market-observable credit spreads.

#### Derivative financial instruments

Where the Banking Group's derivative financial assets and liabilities are not traded on an exchange, they are valued using valuation techniques, including discounted cash flow and option pricing models, as appropriate. The types of derivatives classified as level 2 and the valuation techniques used include:

- interest rate swaps which are valued using discounted cash flow models; the most significant inputs into those models are interest rate yield curves which are developed from quoted rates; and
- foreign exchange derivatives that do not contain options which are priced using rates available from publicly quoted sources.

| Dollars in millions                        | Unaudited as at 31/12/22 |         |         |       |
|--------------------------------------------|--------------------------|---------|---------|-------|
|                                            | Level 1                  | Level 2 | Level 3 | Total |
| <b>Financial assets at fair value</b>      |                          |         |         |       |
| Investment securities                      | 485                      | 1,630   | -       | 2,115 |
| Derivative financial assets                | -                        | 554     | -       | 554   |
| Other financial assets                     | -                        | -       | 1       | 1     |
| <b>Financial liabilities at fair value</b> |                          |         |         |       |
| Derivative financial liabilities           | -                        | 291     | -       | 291   |

| Dollars in millions                        | Unaudited as at 31/12/21 |         |         |       |
|--------------------------------------------|--------------------------|---------|---------|-------|
|                                            | Level 1                  | Level 2 | Level 3 | Total |
| <b>Financial assets at fair value</b>      |                          |         |         |       |
| Investment securities                      | 453                      | 1,056   | -       | 1,509 |
| Derivative financial assets                | -                        | 270     | -       | 270   |
| Other financial assets                     | -                        | -       | 3       | 3     |
| <b>Financial liabilities at fair value</b> |                          |         |         |       |
| Derivative financial liabilities           | -                        | 168     | -       | 168   |



# Notes to the interim financial statements

## 14. Financial instruments continued

| Dollars in millions              | Audited as at 30/06/22 |         |         |       |
|----------------------------------|------------------------|---------|---------|-------|
|                                  | Level 1                | Level 2 | Level 3 | Total |
| <b>Financial assets</b>          |                        |         |         |       |
| Investment securities            | 439                    | 992     | -       | 1,431 |
| Derivative financial assets      | -                      | 477     | -       | 477   |
| Other financial assets           | -                      | -       | 2       | 2     |
| <b>Financial liabilities</b>     |                        |         |         |       |
| Derivative financial liabilities | -                      | 207     | -       | 207   |

The following tables summarise the carrying values of financial assets and liabilities presented in the Banking Group's balance sheet. The fair values presented in the tables are at a specific date and may be significantly different from the amounts which will actually be paid or received on the maturity or settlement date.

| Dollars in millions              | Unaudited as at 31/12/22 |                      | Unaudited as at 31/12/21 |                      | Audited as at 30/06/22 |                      |
|----------------------------------|--------------------------|----------------------|--------------------------|----------------------|------------------------|----------------------|
|                                  | Carrying amount          | Estimated fair value | Carrying amount          | Estimated fair value | Carrying amount        | Estimated fair value |
| <b>Financial assets</b>          |                          |                      |                          |                      |                        |                      |
| Investment securities            | 2,115                    | 2,115                | 1,509                    | 1,509                | 1,431                  | 1,431                |
| Loans and advances               | 28,898                   | 28,390               | 27,179                   | 27,007               | 27,751                 | 27,349               |
| Derivative financial instruments | 554                      | 554                  | 270                      | 270                  | 477                    | 477                  |
| <b>Financial liabilities</b>     |                          |                      |                          |                      |                        |                      |
| Deposits and other borrowings    | 25,262                   | 25,231               | 23,825                   | 23,828               | 24,216                 | 24,193               |
| Derivative financial instruments | 291                      | 291                  | 168                      | 168                  | 207                    | 207                  |
| Debt securities issued           | 2,904                    | 2,921                | 2,694                    | 2,714                | 2,579                  | 2,561                |
| Subordinated debt                | 248                      | 244                  | 257                      | 260                  | 250                    | 247                  |

Certain comparatives have been restated or reclassified, refer to Note 1.7 for further information.

The carrying values of the following financial instruments are a reasonable approximation of fair value because, for example, they are short term in nature or reprice to current market rates frequently: cash and cash equivalents, due from other financial institutions, other financial assets, due to other financial institutions and other financial liabilities. No fair value disclosures are required for lease liabilities.

## 15. Dividends paid

During the six months ended 31 December 2022, Kiwibank paid ordinary dividends of \$13.7m to KGHL (six months ended 31 December 2021: \$5.6m; year ended 30 June 2022: \$16.7m).

## 16. Related entities

Kiwibank had a loan agreement with KGHL which was repaid on 16 December 2022 (31 December 2021: \$75.5m; 30 June 2022: \$75.5m). The loan was made available provided that the Banking Group did not exceed credit exposure to connected persons of 15% of Tier 1 capital, as required in Kiwibank's banking conditions of registration. The loan was on no more favourable terms than corresponding exposures to non-connected persons.

On 9 December 2022, KGHL placed a wholesale term deposit with Kiwibank of \$228m maturing on 7 June 2023. The interest is payable on maturity.

Other than the above, transactions with related entities are consistent with those disclosed in the Banking Group's financial statements for the year ended 30 June 2022. There have been no significant changes in transactions with key management personnel since 30 June 2022.

# Notes to the interim financial statements

## 16. Related entities

The table below shows balances outstanding at the reporting date with shareholders and other entities controlled by the shareholders. No individually assessed credit impairment provision has been recognised for loans issued to or receivables due from related parties. All outstanding balances, other than debt securities, are unsecured.

| Dollars in millions                           | Unaudited<br>as at<br>31/12/22 | Unaudited<br>as at<br>31/12/21 | Audited<br>as at<br>30/06/22 |
|-----------------------------------------------|--------------------------------|--------------------------------|------------------------------|
| <b>Outstanding balances</b>                   |                                |                                |                              |
| Included in deposits and other borrowings     | 238                            | 128                            | 85                           |
| Included in debt securities issued            | -                              | 39                             | 9                            |
| Included in subordinated debt                 | -                              | -                              | -                            |
| Included in other liabilities                 | 1                              | 1                              | -                            |
| <b>Total amounts due to related parties</b>   | <b>239</b>                     | <b>168</b>                     | <b>94</b>                    |
| <b>Receivables</b>                            |                                |                                |                              |
| Included in loans and advances                | -                              | 140                            | 91                           |
| Include in other assets                       | -                              | -                              | -                            |
| <b>Total amounts due from related parties</b> | <b>-</b>                       | <b>140</b>                     | <b>91</b>                    |

Certain comparatives have been restated or reclassified, refer to Note 1.7 for further information.

## 17. Fiduciary activities, securitisation and funds under management

### Insurance business

The Banking Group does not conduct any insurance business.

#### Marketing and distribution

The Banking Group markets and distributes life insurance, business and other personal insurance products provided by or arranged through a number of insurance partners. The Banking Group's insurance partners are:

- The Hollard Insurance Company Pty Limited for house, contents and car insurance;
- Tower Insurance Limited for travel insurance;
- nib nz insurance limited (formerly Kiwi Insurance Limited) for life insurance; and
- business insurance is administered by Aon New Zealand and underwritten by AIG.

### Securitised assets

The Banking Group has an in-house RMBS facility and covered bond programme.

### Funds management

A subsidiary of Kiwibank acts as the manager for the Kiwibank PIE Unit Trust. These funds are invested in products of Kiwibank and are recorded as liabilities in the balance sheet (see Note 10). At 31 December 2022, \$5,824m of funds under management were invested in Kiwibank's own products or securities (31 December 2021: \$4,673m, 30 June 2022: \$5,215m).

### Provision of financial services

Financial services provided by Kiwibank to entities which are involved in trust, custodial, funds management and other fiduciary activities are at fair value, except that Kiwibank does not charge Kiwibank Investment Management Limited, the manager of the Kiwibank PIE Unit Trust, any bank fees. Further, the Kiwibank PIE Unit Trust bank account used for tax payments does not earn interest.

The Banking Group has not provided any funding to entities which conduct the following activities during the periods ended 31 December 2022, 31 December 2021 and 30 June 2022:

- trust, custodial, funds management or other fiduciary activities established, marketed and/or sponsored by a member of the Banking Group; and
- marketing and distribution of insurance products.

# Notes to the interim financial statements

## 17. Fiduciary activities, securitisation and funds under management continued

### Risk management

With regard to the activities identified above, the Banking Group has in place policies and procedures to ensure that those activities are conducted in an appropriate manner. Should adverse conditions arise, it is considered that these policies and procedures will minimise the possibility that these conditions will adversely impact the Banking Group. The policies and procedures include comprehensive and prominent disclosure of information regarding products, and formal and regular review of operations and policies by management.

### Kiwibank RMBS Trust Series 2009-1 (the "RMBS Trust")

The RBNZ's collateral criteria includes the use of a pool of individual residentially secured mortgages (loans and advances) that are aggregated together to form a residential mortgage-backed security ("RMBS"). An RMBS can be transferred to a separate Trust allowing the Banking Group to enter into a repurchase agreement on these loans with the RBNZ. The Banking Group can borrow from the RBNZ using the RMBS as collateral until repurchased at a later date, in order to manage its liquidity requirements.

On 26 June 2009, the Banking Group established an in-house RMBS facility in order to issue securities that meet the RBNZ criteria.

The carrying value of the RMBS pool at 31 December 2022 is \$4,250m (31 December 2021: \$4,250m, 30 June 2022: \$4,250m). These securities are ring-fenced to ensure they are not used as collateral outside of agreements established with the RMBS Trust.

### Kiwi Covered Bond Trust (the "Covered Bond Trust")

The Covered Bond Trust was established to hold Kiwibank housing loans and to provide guarantees to certain debt securities issued by the Banking Group. Substantially all of the assets of the Covered Bond Trust comprise housing loans originated by Kiwibank which are security for the guarantee of issuances of covered bonds by the Banking Group, provided by Kiwi Covered Bond Trustee Limited as Trustee of the Covered Bond Trust. The assets of the Covered Bond Trust are not available to creditors of Kiwibank, although the Banking Group (or its liquidator or statutory manager) may have a claim against the residual assets of the Covered Bond Trust (if any) after all prior ranking creditors of the Covered Bond Trust have been satisfied.

The carrying value of the Covered Bond Trust pool at 31 December 2022 is \$700m (31 December 2021: \$700m, 30 June 2022: \$700m). These securities are ring-fenced to ensure they are not used as collateral outside of agreements established with the Covered Bond Trust.

The assets and liabilities associated with the RMBS Trust and Covered Bond Trust do not qualify for derecognition as the Banking Group retains a continuing involvement and retains substantially all the risks and rewards of ownership of the transferred assets. (Funding, liquidity, and credit risk remains with the Banking Group.)

## 18. Segment analysis

There have been no changes to the Banking Group's segmental reporting since 30 June 2022. The Banking Group continues to operate and report as a single segment business consistent with the internal reporting provided to the chief operating decision-maker (31 December 2021: Personal and Business segments were reported separately).

No revenue from transactions with a single external customer or counterparty amounted to 10% or more of the Banking Group's total revenue (31 December 2021: nil, 30 June 2022: nil). Revenue from external customers is reported within net interest income, net gains on financial instruments, and other operating income.

## 19. Risk management

There have been no material changes to the Banking Group's policies for managing risk, or material exposures to new categories of risk since 30 June 2022.

## 20. Liquidity

### Liquid assets portfolio

The Banking Group holds a diversified portfolio of high-quality liquid securities to support its liquidity risk management. The size of the Banking Group's liquidity portfolio is based on the amount required to meet its Liquidity Policy and includes items both classified as cash and cash equivalents and those classified as operating assets in the cash flow statement. Amounts below are presented net of any appropriate 'haircut' where applicable. A 'haircut' refers to the reduction in the current market value of the qualifying liquid assets in line with RBNZ's BS13: Liquidity Policy. This haircut can range from 1 to 25 percent.

# Notes to the interim financial statements

## 20. Liquidity continued

| Dollars in millions                                                     | Unaudited<br>as at<br>31/12/22 |
|-------------------------------------------------------------------------|--------------------------------|
| Cash, balances with central bank, and certain foreign currency deposits | 1,383                          |
| Certificates of deposit                                                 | 225                            |
| Government bonds and treasury bills                                     | 274                            |
| Local body stock and bonds                                              | 539                            |
| Supranational bonds                                                     | 591                            |
| Other bonds                                                             | 141                            |
| <b>Total</b>                                                            | <b>3,153</b>                   |

The Bank also held unencumbered internal residential mortgage-backed securities which would entitle the Banking Group to enter into repurchase transactions with a value of \$1,839m at 31 December 2022 (31 December 2021: \$2,225m, 30 June 2022: \$2,127m).

### Maturity analysis of financial liabilities

The following tables present the Banking Group's cash flows for financial liabilities by remaining contractual maturities at the reporting date. The amounts disclosed in the table are the contractual undiscounted cash flows and include principal and future interest cash flows, therefore may not agree to the carrying values reported in the balance sheet. The Banking Group does not manage liquidity risk on the basis of the information provided below.

|                                          | Unaudited as at 31/12/22 |               |                |                     |                   |                              |                 |
|------------------------------------------|--------------------------|---------------|----------------|---------------------|-------------------|------------------------------|-----------------|
| Dollars in millions                      | On demand <sup>2</sup>   | 1 to 3 months | 3 to 12 months | Between 1 & 5 years | More than 5 years | Gross nominal inflow/outflow | Carrying amount |
| Non-derivative cash flows                |                          |               |                |                     |                   |                              |                 |
| Financial liabilities                    |                          |               |                |                     |                   |                              |                 |
| Due to other financial institutions      | (624)                    | -             | (79)           | (1,431)             | -                 | (2,134)                      | (2,118)         |
| Deposits and other borrowings            | (12,388)                 | (5,700)       | (6,888)        | (493)               | -                 | (25,469)                     | (25,262)        |
| Debt securities issued                   | (39)                     | (83)          | (630)          | (2,523)             | (127)             | (3,402)                      | (2,904)         |
| Other financial liabilities <sup>1</sup> | (35)                     | (4)           | (12)           | (49)                | (48)              | (148)                        | (128)           |
| Subordinated debt                        | -                        | (2)           | (5)            | (288)               | -                 | (295)                        | (248)           |
| Total                                    | (13,086)                 | (5,789)       | (7,614)        | (4,784)             | (175)             | (31,448)                     | (30,660)        |
| Derivative cash flows – net              |                          |               |                |                     |                   |                              |                 |
| Interest rate derivatives                | (2)                      | 56            | 211            | 12                  | -                 | 277                          |                 |
| Total                                    | (2)                      | 56            | 211            | 12                  | -                 | 277                          |                 |
| Derivative cash flows – gross            |                          |               |                |                     |                   |                              |                 |
| Foreign exchange derivatives             |                          |               |                |                     |                   |                              |                 |
| Inflow                                   | 249                      | 286           | 752            | 1,290               | 127               | 2,704                        |                 |
| Outflow                                  | (258)                    | (290)         | (729)          | (1,310)             | (115)             | (2,702)                      |                 |
| Total                                    | (9)                      | (4)           | 23             | (20)                | 12                | 2                            |                 |
| Off-balance sheet cash flows             |                          |               |                |                     |                   |                              |                 |
| Capital commitments                      | -                        | (4)           | -              | -                   | -                 | (4)                          |                 |
| Undrawn credit commitments               | (4,687)                  | -             | -              | -                   | -                 | (4,687)                      |                 |
| Total                                    | (4,687)                  | (4)           | -              | -                   | -                 | (4,691)                      |                 |

<sup>1</sup> '1 to 3 months' to 'More than 5 years' for 'Other financial liabilities' relates to lease liabilities. All other financial liabilities are on demand.

<sup>2</sup> 'On demand' includes financial liabilities that mature up to 1 month after 31 December 2022.

# Notes to the interim financial statements

## 21. Interest repricing

The following tables present a breakdown of the Banking Group's assets, liabilities and off-balance sheet instruments at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The Banking Group does not manage its interest rate risk on the basis of the information below.

| Dollars in millions                       | Unaudited as at 31/12/22 |                      |                 |                |                    |                       |                |
|-------------------------------------------|--------------------------|----------------------|-----------------|----------------|--------------------|-----------------------|----------------|
|                                           | Total                    | Non-interest bearing | Up to 3 months  | 3 to 6 months  | 6 months to 1 year | Between 1 and 2 years | Over 2 years   |
| <b>Financial assets</b>                   |                          |                      |                 |                |                    |                       |                |
| Cash and cash equivalents                 | 1,446                    | 105                  | 1,341           | -              | -                  | -                     | -              |
| Due from other financial institutions     | 116                      | -                    | 116             | -              | -                  | -                     | -              |
| Investment securities                     | 2,115                    | -                    | 222             | 347            | 76                 | 355                   | 1,115          |
| Derivative financial instruments          | 554                      | 554                  | -               | -              | -                  | -                     | -              |
| Loans and advances                        | 28,898                   | 46                   | 6,689           | 2,727          | 8,341              | 7,222                 | 3,873          |
| Other financial assets                    | 51                       | 51                   | -               | -              | -                  | -                     | -              |
| <b>Total financial assets</b>             | <b>33,180</b>            | <b>756</b>           | <b>8,368</b>    | <b>3,074</b>   | <b>8,417</b>       | <b>7,577</b>          | <b>4,988</b>   |
| <b>Financial liabilities</b>              |                          |                      |                 |                |                    |                       |                |
| Due to other financial institutions       | (2,118)                  | (48)                 | (1,993)         | (39)           | (38)               | -                     | -              |
| Deposits and other borrowings             | (25,262)                 | (4,764)              | (13,309)        | (3,478)        | (3,200)            | (276)                 | (235)          |
| Derivative financial instruments          | (291)                    | (291)                | -               | -              | -                  | -                     | -              |
| Debt securities issued                    | (2,904)                  | -                    | (646)           | (124)          | (404)              | (388)                 | (1,342)        |
| Other financial liabilities               | (128)                    | (128)                | -               | -              | -                  | -                     | -              |
| Subordinated debt                         | (248)                    | -                    | -               | -              | -                  | -                     | (248)          |
| <b>Total financial liabilities</b>        | <b>(30,951)</b>          | <b>(5,231)</b>       | <b>(15,948)</b> | <b>(3,641)</b> | <b>(3,642)</b>     | <b>(664)</b>          | <b>(1,825)</b> |
| <b>On-balance sheet gap</b>               | <b>2,229</b>             | <b>(4,475)</b>       | <b>(7,580)</b>  | <b>(567)</b>   | <b>4,775</b>       | <b>6,913</b>          | <b>3,163</b>   |
| <b>Net derivative notional principals</b> | <b>57</b>                | <b>-</b>             | <b>9,602</b>    | <b>15</b>      | <b>(4,820)</b>     | <b>(5,049)</b>        | <b>309</b>     |
| <b>Net effective interest rate gap</b>    | <b>2,286</b>             | <b>(4,475)</b>       | <b>2,022</b>    | <b>(552)</b>   | <b>(45)</b>        | <b>1,864</b>          | <b>3,472</b>   |

## 22. Capital expenditure commitments

Capital expenditure commitments contracted for as at 31 December 2022, but not provided for in these financial statements, total \$3.6m (31 December 2021: \$4.7m, 30 June 2022: \$6.1m) and are analysed by expected maturity in Note 20.

## 23. Contingent liabilities and credit commitments

### Compliance, regulation, and remediation

The Banking Group is subject to regulatory oversight and regularly assesses compliance with product terms and conditions and relevant legislation to identify any potential remediation claims in relation to the provision of services to customers. A contingent liability may exist, in respect of actual or potential claims, where the law is uncertain, or the potential liability cannot accurately be determined. All potential remediation claims are assessed on a case-by-case basis.

Where the Banking Group has carried out an assessment of likely loss, and, where it can be reliably estimated, an appropriate provision is recognised. Any material claim that has not yet met the conditions to be recognised is disclosed as a contingent liability. There are no material claims identified but not yet recognised as a provision as at 31 December 2022.

### Loan commitments

The Banking Group enters into lending arrangements with customers with loan commitments which are only recognised in the balance sheet as loans and advances when cash is advanced. Letters of credit and performance-related contingencies include transactions where the Banking Group is obliged to make payments to a third party if a customer fails to fulfil its obligations under a contract.

# Notes to the interim financial statements

## 23. Contingent liabilities and credit commitments continued

Undrawn credit commitments as at the reporting date are as follows:

|                                                         | Unaudited<br>as at<br>31/12/22 | Unaudited<br>as at<br>31/12/21 | Audited<br>as at<br>30/06/22 |
|---------------------------------------------------------|--------------------------------|--------------------------------|------------------------------|
| Dollars in millions                                     |                                |                                |                              |
| Letters of credit and performance-related contingencies | 72                             | 70                             | 83                           |
| Loan commitments                                        | 4,615                          | 4,563                          | 4,467                        |
| Total undrawn credit commitments                        | 4,687                          | 4,633                          | 4,550                        |

There are no pending legal proceedings or arbitration concerning Kiwibank or any member of the Banking Group, that may have a material adverse effect on Kiwibank or the Banking Group.

## 24. Events subsequent to the reporting date

On 27 January 2023, the Auckland region went into a state of emergency due to severe weather causing flooding. Over the following days both the Northland Region and Waitomo District also entered a state of emergency due to severe weather. On 14 February 2023, a national state of emergency was also declared to assist in the response to Cyclone Gabrielle. The declaration applied to six regions that had already declared a local state of emergency being: Northland, Auckland, Tairāwhiti, Bay of Plenty, Waikato, and Hawke's Bay. The financial effects and impact on Kiwibank customers of these weather events has not yet been quantified to determine whether there is a material impact on the credit impairment provisions of the Banking Group.

There were no other material events that occurred subsequent to the reporting date which require recognition or additional disclosure in these financial statements.

# Capital adequacy and regulatory liquidity ratios

## Unaudited

Kiwibank Limited ("Kiwibank" or the "Bank") is subject to the capital adequacy requirements for registered banks as specified by the Reserve Bank of New Zealand ("RBNZ"). Following an internationally agreed framework (commonly known as Basel III) developed by the Basel Committee on Banking Supervision, the RBNZ has set minimum acceptable regulatory capital requirements and provided methods for estimating or measuring the risks incurred by the Bank.

As a bank adopting the Standardised Approach under the Basel III regime, Kiwibank applies the RBNZ's Banking Prudential Requirements ("BPR") for estimating adequate prudential capital and calculating regulatory capital requirements. In accordance with Kiwibank's banking conditions of registration, Kiwibank applies the RBNZ's Basel III framework.

Regulatory capital adequacy ratios are calculated by expressing capital as a percentage of risk-weighted exposures. As a condition of registration, the Banking Group must comply with the following minimum capital requirements set by the RBNZ:

- Total capital ratio must not be less than 8.0% of risk-weighted exposures.
- Tier 1 capital ratio must not be less than 6.0% of risk-weighted exposures.
- The Common Equity Tier 1 capital ratio is not less than 4.5%.
- Capital of the Banking Group must not be less than NZ\$30m.

## Regulatory capital

The Basel III standards for bank capital distinguish between Tier 1 and Tier 2 capital. Tier 1 capital is permanently and freely available to absorb losses without the bank being obliged to cease trading, while Tier 2 capital generally only absorbs losses in a winding up. Within Tier 1 capital, Common Equity Tier 1 capital ("CET 1") has greater loss-absorbing capability than the other Tier 1 instruments referred to as Additional Tier 1 capital ("AT 1").

Capital ratios are used to define minimum capital requirements for each of: Common Equity Tier 1 capital, Tier 1 capital (CET 1 plus AT 1), and Total capital (Tier 1 plus Tier 2), as a percentage of risk-weighted assets. There are increasing constraints on capital distributions where a bank's capital level falls within the buffer range. The following table shows the current capital ratio requirements and conservation buffers (as a percentage of risk-weighted assets).

## Regulatory capital ratios

|                                    | Minimum ratio requirement | The Banking Group |          |          |
|------------------------------------|---------------------------|-------------------|----------|----------|
|                                    |                           | 31/12/22          | 31/12/21 | 30/06/22 |
| Capital adequacy ratios            |                           |                   |          |          |
| Common Equity Tier 1 capital ratio | 4.5%                      | 10.4%             | 10.4%    | 10.5%    |
| Tier 1 capital ratio               | 6.0%                      | 11.8%             | 12.0%    | 12.0%    |
| Total capital ratio                | 8.0%                      | 13.4%             | 13.7%    | 13.6%    |
|                                    |                           |                   |          |          |
| Prudential capital buffer ratio    |                           | 5.4%              | 5.7%     | 5.6%     |
| Buffer trigger ratio               |                           | 2.5%              | 2.5%     | 2.5%     |

The Kiwibank Limited solo capital ratios are the same as those disclosed above for the Banking Group.

# Capital adequacy and regulatory liquidity ratios

## Ordinary shares

The ordinary shares issued by the Bank, which are fully paid, are included within CET 1 capital. The material terms and conditions of the ordinary shares are:

- a) each share contains a single right to vote;
- b) there are no redemption, conversion or capital repayment options/facilities;
- c) there is no predetermined dividend rate;
- d) there is no maturity date;
- e) there are no options to be granted pursuant to any agreement; and
- f) each share ranks equally to dividends and any surpluses on winding up.

## Perpetual preference shares

The perpetual preference shares ("PPS"), issued by the Bank on 2 November 2021, which are fully paid, are included within AT 1 capital. The material terms and conditions of the PPS are:

- a) the PPS have no voting rights;
- b) distributions are payable quarterly in arrears, subject to the absolute discretion of Kiwibank. The distribution rate was initially fixed for a period of five years at the swap rate on the rate set date, being 2 November 2021, plus a margin. The distribution rate will be reset at five-yearly intervals;
- c) if for any reason a distribution is not paid in full on a distribution payment date, Kiwibank must not make any distributions or payments on or issue any bonus securities in respect of its ordinary shares or any other preference shares or other securities that rank equally with the PPS;
- d) distributions are non-cumulative;
- e) the PPS do not have a maturity date; however, Kiwibank may elect to make early repayment on 2 November 2026 or any optional redemption date thereafter (optional redemption dates occur at five-yearly intervals) or if a tax or regulatory event has occurred (as described in the Deed Poll);
- f) PPS rank equally with other preference shares and ahead of ordinary shares, dividends and any surpluses on winding up; and
- g) the PPS are not guaranteed by any member of the Banking Group, Kiwibank's parent companies (including KGCL), the Crown or by any other person.

## Subordinated notes

The subordinated notes, issued by the Bank on 11 December 2020, which are fully paid, are included within Tier 2 capital. The subordinated notes are subordinate to all other general liabilities of the Banking Group and are denominated in New Zealand dollars. The material terms and conditions of the subordinated notes are:

- a) the subordinated notes constitute direct, unsecured subordinated debt obligations of Kiwibank;
- b) the subordinated notes pay interest quarterly in arrear at an initial rate of 2.36% p.a., subject to the condition that Kiwibank and the Banking Group is solvent after each payment;
- c) unpaid interest accumulates;
- d) the subordinated notes have no voting rights;
- e) the subordinated notes may be written off in certain circumstances;
- f) the subordinated notes have a maturity date of 11 December 2030; however, Kiwibank may elect to make early repayment on 11 December 2025 or any quarterly interest payment date thereafter; and
- g) the subordinated notes are not guaranteed by any member of the Banking Group, Kiwibank's parent companies (including KGCL), the Crown or by any other person.



# Capital adequacy and regulatory liquidity ratios

## Risk-weighted exposures

Risk-weighted exposures are derived by assigning risk-weight percentages to certain material risk categories of exposures. These exposures are measured or estimated from: selected balance sheet assets; off-balance sheet exposures and market related contracts; and business unit net income.

The Bank's current Prudential capital requirements based on assessments of its material risk classes (commonly referred to as "Pillar I" risk classes under Basel III) can be summarised as follows:

- Credit risk – The vulnerability of the Banking Group's lending and investment portfolios to systemic counterparty default. The risk-based capital allocation is computed in accordance with RBNZ BPR130, BPR131, BPR132 and BPR160.
- Market risk – The vulnerability of earnings to movements in interest rates, equity prices and currency volatility. The risk-based capital allocation is computed in accordance with RBNZ BPR140.
- Operational risk – The risk of loss, resulting from inadequate or failed internal processes (including legal risks), people and systems and from external events. The risk-based capital allocation is computed in accordance with RBNZ BPR150.

Kiwibank's Board is ultimately responsible for capital adequacy and approves capital plans and establishes minimum internal capital levels and limits. These are higher than the regulatory minima.

The capital adequacy tables on the following pages summarise the composition of regulatory capital and capital adequacy ratios for the six months ended 31 December 2022. Throughout the period, Kiwibank and the Banking Group complied with both regulatory and internal capital adequacy requirements.

## Regulatory capital

The following table shows the qualifying capital for the Banking Group.

| Dollars in millions                                                                 |  | The Banking Group<br>31/12/22 |
|-------------------------------------------------------------------------------------|--|-------------------------------|
| <b>Common Equity Tier 1 capital</b>                                                 |  |                               |
| Issued and fully paid-up share capital                                              |  | 737                           |
| Retained earnings (net of appropriations)                                           |  | 1,154                         |
| Accumulated other comprehensive income and other disclosed reserves <sup>1, 2</sup> |  | 162                           |
| <b>Less deductions from Common Equity Tier 1 capital</b>                            |  |                               |
| Intangible assets                                                                   |  | (28)                          |
| Cash flow hedge reserve                                                             |  | (237)                         |
| Deferred tax assets                                                                 |  | -                             |
| <b>Total Common Equity Tier 1 capital</b>                                           |  | <b>1,788</b>                  |
| <b>Additional Tier 1 capital</b>                                                    |  |                               |
| Perpetual preference shares <sup>3</sup>                                            |  | 246                           |
| <b>Total Additional Tier 1 capital</b>                                              |  | <b>246</b>                    |
| <b>Total Tier 1 capital</b>                                                         |  | <b>2,034</b>                  |
| <b>Tier 2 capital</b>                                                               |  |                               |
| Subordinated notes <sup>4</sup>                                                     |  | 273                           |
| <b>Total Tier 2 capital</b>                                                         |  | <b>273</b>                    |
| <b>Total capital</b>                                                                |  | <b>2,307</b>                  |

<sup>1</sup> Includes fair value reserve of \$(75m). The fair value reserve includes the cumulative net change in the fair value of investment securities until the investment is derecognised or impaired.

<sup>2</sup> Includes cash flow hedge reserve of \$237m. The cash flow hedge reserve comprises the effective portion of the cumulative net change in the fair value of foreign exchange and interest rate derivative contracts related to hedged forecasted transactions that have not yet occurred. The cash flow hedge reserve is not eligible for inclusion in capital under BPR110 B1.8.

<sup>3</sup> Perpetual preference shares issued by Kiwibank Limited are classified as equity of the Banking Group for financial reporting purposes.

<sup>4</sup> Subordinated notes are classified as debt of the Banking Group for financial reporting purposes.

# Capital adequacy and regulatory liquidity ratios

## On-balance sheet credit risk exposures

| Dollars in millions                                                                                        | The Banking Group<br>31/12/22               |             |                        |                                      |
|------------------------------------------------------------------------------------------------------------|---------------------------------------------|-------------|------------------------|--------------------------------------|
|                                                                                                            | Total exposure after credit risk mitigation | Risk weight | Risk-weighted exposure | Minimum Pillar I capital requirement |
| <b>On-balance sheet exposures</b>                                                                          |                                             |             |                        |                                      |
| Cash and gold bullion                                                                                      | 107                                         | 0%          | -                      | -                                    |
| Sovereigns and central banks                                                                               | 1,746                                       | 0%          | -                      | -                                    |
| Multilateral development banks and other international organisations                                       | 544                                         | 0%          | -                      | -                                    |
| Public-sector entities                                                                                     | 102                                         | 20%         | 20                     | 2                                    |
|                                                                                                            | -                                           | 100%        | -                      | -                                    |
| Banks                                                                                                      | 273                                         | 20%         | 55                     | 4                                    |
|                                                                                                            | 208                                         | 50%         | 104                    | 8                                    |
| Corporate                                                                                                  | 655                                         | 20%         | 131                    | 10                                   |
|                                                                                                            | 39                                          | 50%         | 20                     | 2                                    |
|                                                                                                            | 3,529                                       | 100%        | 3,529                  | 282                                  |
| <b>Residential mortgages not past due</b>                                                                  |                                             |             |                        |                                      |
| Non-property investment residential mortgage loans                                                         |                                             |             |                        |                                      |
| <= 80% loan-to-value ratio ("LVR")                                                                         | 14,467                                      | 35%         | 5,063                  | 405                                  |
| 80 <= 90% LVR                                                                                              | 1,020                                       | 50%         | 510                    | 41                                   |
| 90 <= 100% LVR                                                                                             | 36                                          | 75%         | 27                     | 2                                    |
| > 100% LVR                                                                                                 | 42                                          | 100%        | 42                     | 3                                    |
| Non-property investment residential mortgage loans – 'First Home' loans and lenders mortgage insured loans |                                             |             |                        |                                      |
| <= 80% LVR                                                                                                 | 258                                         | 35%         | 90                     | 7                                    |
| 80 <= 90% LVR                                                                                              | 194                                         | 35%         | 68                     | 5                                    |
| 90 <= 100% LVR                                                                                             | 86                                          | 50%         | 43                     | 3                                    |
| Property investment residential mortgage loans                                                             |                                             |             |                        |                                      |
| <= 80% LVR                                                                                                 | 8,512                                       | 40%         | 3,405                  | 272                                  |
| 80 <= 90% LVR                                                                                              | 73                                          | 70%         | 51                     | 4                                    |
| 90 <= 100% LVR                                                                                             | 61                                          | 90%         | 55                     | 4                                    |
| > 100% LVR                                                                                                 | 44                                          | 100%        | 44                     | 4                                    |
| Property investment residential mortgage loans – lenders mortgage insured loans                            |                                             |             |                        |                                      |
| <= 80% LVR                                                                                                 | 15                                          | 40%         | 6                      | -                                    |
| 90 <= 100% LVR                                                                                             | 1                                           | 75%         | 1                      | -                                    |
| Impaired assets                                                                                            | 1                                           | 100%        | 1                      | -                                    |
| Past due residential mortgages > 90 days                                                                   | 12                                          | 100%        | 12                     | 1                                    |
|                                                                                                            | 1                                           | 35%         | -                      | -                                    |
| Other past due assets                                                                                      | 3                                           | 100%        | 3                      | -                                    |
| Non-risk-weighted assets                                                                                   | 582                                         | 0%          | -                      | -                                    |
| All other equity holdings (not deducted from capital)                                                      | -                                           | 400%        | -                      | -                                    |
| Other assets                                                                                               | 669                                         | 100%        | 669                    | 54                                   |
| <b>Total on-balance sheet exposures</b>                                                                    | <b>33,280</b>                               |             | <b>13,949</b>          | <b>1,113</b>                         |

# Capital adequacy and regulatory liquidity ratios

## Off-balance sheet exposures and counterparty credit risk exposures

| The Banking Group<br>31/12/22                                                                                                                                                    |                                    |                          |                          |                     |                        |                                      |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------|--------------------------|--------------------------|---------------------|------------------------|--------------------------------------|
| Dollars in millions                                                                                                                                                              | Total exposure or principal amount | Credit conversion factor | Credit equivalent amount | Average risk weight | Risk-weighted exposure | Minimum Pillar 1 capital requirement |
| Direct credit substitute                                                                                                                                                         | 48                                 | 100%                     | 48                       | 99%                 | 48                     | 4                                    |
| Performance-related contingency                                                                                                                                                  | 22                                 | 50%                      | 11                       | 100%                | 11                     | 1                                    |
| Other commitments where original maturity is greater than one year                                                                                                               | 1,606                              | 50%                      | 803                      | 67%                 | 538                    | 43                                   |
| Other commitments where original maturity is less than or equal to one year                                                                                                      | 1,743                              | 20%                      | 349                      | 38%                 | 133                    | 11                                   |
| Other commitments that cancel automatically when the creditworthiness of the counterparty deteriorates or that can be cancelled unconditionally at any time without prior notice | 1,259                              | 0%                       | -                        | 0%                  | -                      | -                                    |
| <b>Market-related contracts:<sup>1</sup></b>                                                                                                                                     |                                    |                          |                          |                     |                        |                                      |
| (a) Foreign exchange contracts                                                                                                                                                   | 1,415                              | n/a                      | 51                       | 59%                 | 30                     | 2                                    |
| (b) Interest rate contracts                                                                                                                                                      | 548                                | n/a                      | 50                       | 7%                  | 4                      | -                                    |
| (c) CVA                                                                                                                                                                          |                                    | n/a                      |                          |                     | 16                     | 1                                    |
| (d) Other – CCP initial margin                                                                                                                                                   | 88                                 | n/a                      |                          | 2%                  | 2                      | -                                    |
| <b>Total off-balance sheet exposures</b>                                                                                                                                         | <b>6,729</b>                       |                          | <b>1,312</b>             |                     | <b>782</b>             | <b>62</b>                            |

<sup>1</sup> The credit equivalent amount for counterparty credit risk exposures was calculated using the current exposure method, and is a net exposure amount i.e. after credit risk mitigation.

Total exposure amounts in the table above are disclosed net of credit impairment provisions.

## Residential mortgages by loan-to-value ratio ("LVR")

| The Banking Group<br>31/12/22 |                  |                   |               |
|-------------------------------|------------------|-------------------|---------------|
| Dollars in millions           | On-balance sheet | Off-balance sheet | Total         |
| LVR 0% – 80%                  | 23,265           | 725               | 23,990        |
| LVR 80% – 90%                 | 1,288            | 36                | 1,324         |
| LVR 90% +                     | 270              | 46                | 316           |
| <b>Total</b>                  | <b>24,823</b>    | <b>807</b>        | <b>25,630</b> |

The LVR classification above is calculated in compliance with the Order. The off-balance sheet amounts disclosed in the table above are credit equivalent amounts disclosed net of the relevant credit conversion factor.

At 31 December 2022, of the loans with an LVR greater than 80%, \$283m (31 December 2021: \$263m, 30 June 2022: \$228m) relates to loans with mortgage insurance or 'First Home' loans, whose credit risk is mitigated by the New Zealand Crown (via underwriting by Housing New Zealand Corporation).

## Credit risk mitigation

| The Banking Group<br>31/12/22 |                                                                                                       |                                                                                                |
|-------------------------------|-------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------|
| Dollars in millions           | Total value of on- and off-balance sheet exposures covered by eligible collateral (after haircutting) | Total value of on- and off-balance sheet exposures covered by guarantees or credit derivatives |
| <b>Exposure class</b>         |                                                                                                       |                                                                                                |
| Bank                          | 29,885                                                                                                | -                                                                                              |
|                               | <b>29,885</b>                                                                                         | <b>-</b>                                                                                       |

The Banking Group uses the comprehensive method to measure the mitigating effects of collateral.

# Capital adequacy and regulatory liquidity ratios

## Operational risk

| The Banking Group   |                                |  |                                            |
|---------------------|--------------------------------|--|--------------------------------------------|
| 31/12/22            |                                |  |                                            |
| Dollars in millions | Implied risk-weighted exposure |  | Total operational risk capital requirement |
| Operational risk    | 1,891                          |  | 151                                        |

## Market risk

| The Banking Group     |                                |                 |                          |                 |
|-----------------------|--------------------------------|-----------------|--------------------------|-----------------|
| 31/12/22              |                                |                 |                          |                 |
| Dollars in millions   | Implied risk-weighted exposure |                 | Aggregate capital charge |                 |
|                       | End of period                  | Peak end-of-day | End of period            | Peak end-of-day |
| Interest rate risk    | 582                            | 665             | 47                       | 53              |
| Foreign currency risk | 40                             | 45              | 3                        | 4               |
| Equity risk           | -                              | -               | -                        | -               |

The aggregate market risk exposure above is derived in accordance with RBNZ BPR140.

The peak end-of-day aggregate capital charge is the maximum over the period at the close of each business day for each market risk category.

## Total capital requirements

| The Banking Group             |                                             |                                                          |                           |
|-------------------------------|---------------------------------------------|----------------------------------------------------------|---------------------------|
| 31/12/22                      |                                             |                                                          |                           |
| Dollars in millions           | Total exposure after credit risk mitigation | Risk-weighted exposure or implied risk-weighted exposure | Total capital requirement |
| Total credit risk plus equity | 40,009                                      | 14,731                                                   | 1,175                     |
| Operational risk              | n/a                                         | 1,891                                                    | 151                       |
| Market risk                   | n/a                                         | 622                                                      | 50                        |
| <b>Total Pillar I risk</b>    | <b>n/a</b>                                  | <b>17,244</b>                                            | <b>1,376</b>              |

## Other material risks (Pillar II)

The Basel III capital adequacy regime intends to ensure that banks have adequate capital to support all material risks inherent in their business activities. Consequently, banks are required to maintain an internal capital adequacy assessment process ("ICAAP") for assessing overall capital adequacy in relation to their risk profile. Kiwibank's ICAAP methodology requires it to hold capital against 'Other material risks' (Pillar II risks), including conduct and culture, project execution, climate change and cyber risks.

For these other material risks, the Bank has made an internal capital allocation of \$45m (31 December 2021: \$58m, 30 June 2022: \$45m).

## Regulatory liquidity ratios

The Banking Group calculates regulatory liquidity ratios in accordance with the RBNZ's "Liquidity Policy" (BS13). Ratios are calculated daily and the quarterly averages of each daily ratio are disclosed below.

| The Banking Group                |                         |                         |
|----------------------------------|-------------------------|-------------------------|
|                                  | 3 months ended 31/12/22 | 3 months ended 30/09/22 |
| Average one-week mismatch ratio  | 9.9%                    | 9.0%                    |
| Average one-month mismatch ratio | 9.7%                    | 8.3%                    |
| Average core funding ratio       | 92.8%                   | 90.4%                   |



## Independent auditor's review report

To the shareholders of Kiwibank Limited

**This report is for the Banking Group, comprising Kiwibank Limited (the "Bank") and its controlled entities as at 31 December 2022 or from time to time during the six months ended on that date.**

The Auditor-General is the auditor of the Bank and the Banking Group. The Auditor-General has appointed me, Jonathan Freeman, using the staff and resources of PricewaterhouseCoopers, to carry out a review of the interim financial statements and supplementary information (excluding the supplementary information relating to capital adequacy and regulatory liquidity requirements) included in the Disclosure Statement of the Banking Group, on his behalf.

### **Report on the interim financial statements and the supplementary information (excluding the information relating to capital adequacy and regulatory liquidity requirements disclosed in accordance with Schedule 9)**

#### **Our conclusion**

We have reviewed the condensed consolidated interim financial statements (the "Financial Statements") for the six month period ended 31 December 2022 of the Banking Group as required by clause 25 of the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended) (the "Order") and the supplementary information disclosed in accordance with Schedules 5, 7, 13, 16 and 18 of the Order (the "Supplementary Information"), excluding the information relating to capital adequacy and regulatory liquidity requirements disclosed in accordance with Schedule 9 of the Order contained in the half year Disclosure Statement (the "Disclosure Statement").

The Financial Statements comprise the balance sheet as at 31 December 2022, the related income statement, statement of comprehensive income, statement of changes in equity and cash flow statement for the six month period then ended and explanatory notes.

Based on our review, nothing has come to our attention that causes us to believe that the accompanying:

- a. Financial Statements have not been prepared, in all material respects, in accordance with New Zealand Equivalent to International Accounting Standard 34 *Interim Financial Reporting* (NZ IAS 34) and International Accounting Standard 34 *Interim Financial Reporting* (IAS 34); and
- b. Supplementary Information that is required to be disclosed in accordance with Schedules 5, 7, 13, 16 and 18 of the Order:
  - does not present fairly, in all material respects, the matters to which it relates; or
  - is not disclosed, in all material respects, in accordance with those schedules.

#### **Basis for conclusion**

We conducted our review in accordance with the New Zealand Standard on Review Engagements 2410 (Revised) *Review of Financial Statements Performed by the Independent Auditor of the Entity* ("NZ SRE 2410 (Revised)"). Our responsibilities are further described in the *Auditor's responsibilities for the review of the Financial Statements and Supplementary Information* section of our report.

We are independent of the Banking Group in accordance with the independence requirements of the Auditor-General's Auditing Standards, which incorporate the independence requirements of Professional and Ethical Standard 1 *International Code of Ethics for Assurance Practitioners (including International Independence Standards)* (New Zealand) issued by the New Zealand Auditing and Assurance Standards Board.



In addition to the audit of the annual financial statements and this review, our firm carries out other services for the Banking Group. These services comprise:

- limited assurance over capital adequacy and regulatory liquidity requirements;
- reasonable assurance over registry compliance and limited assurance over compliance with certain matters in the trust deed in respect of a controlled entity within the Banking Group; and
- agreed upon procedures over debt programmes.

These services are compatible with those independence requirements. In addition, certain partners and employees of our firm may deal with the Banking Group on normal terms within the ordinary course of trading activities of the Banking Group. The provision of these other services and relationships has not impaired our independence.

#### **Responsibilities of the Directors for the Disclosure Statement**

The Directors are responsible, on behalf of the Bank, for the preparation and fair presentation of the Financial Statements in accordance with clause 25 of the Order, NZ IAS 34 and IAS 34 and for such internal control as the Directors determine is necessary to enable the preparation of the Financial Statements that are free from material misstatement, whether due to fraud or error.

In addition, the Directors are responsible on behalf of the Bank, for the preparation and fair presentation of the Disclosure Statement which includes:

- all of the information prescribed in Schedule 3 of the Order; and
- the information prescribed in Schedules 5, 7, 13, 16 and 18 of the Order.

#### **Auditor's responsibilities for the review of the Financial Statements and Supplementary Information**

Our responsibility is to express a conclusion on the Financial Statements and Supplementary Information based on our review. NZ SRE 2410 (Revised) requires us to conclude whether anything has come to our attention that causes us to believe that the:

- Financial Statements, taken as a whole, have not been prepared, in all material respects, in accordance with NZ IAS 34 and IAS 34; and
- Supplementary Information that is required to be disclosed in accordance with Schedules 5, 7, 13, 16 and 18 of the Order:
  - o does not present fairly, in all material respects, the matters to which it relates; or
  - o is not disclosed, in all material respects, in accordance with those schedules; or
  - o if applicable, has not been prepared, in all material respects, in accordance with any conditions of registration relating to disclosure requirements, imposed under section 74(4)(c) of the Banking (Prudential Supervision) Act 1989.



A review in accordance with NZ SRE 2410 (Revised) is a limited assurance engagement. We perform procedures, consisting of making enquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. The procedures performed in a review are substantially less than those performed in an audit conducted in accordance with International Standards on Auditing (New Zealand) and International Standards on Auditing and consequently do not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion on these Financial Statements and Supplementary Information.

A handwritten signature in black ink, appearing to read 'Jonathan Freeman'.

Jonathan Freeman  
On behalf of the Auditor-General  
Wellington, New Zealand  
22 February 2023

The PricewaterhouseCoopers logo, featuring the company name in a stylized, handwritten-style font.

PricewaterhouseCoopers



## Independent assurance report

To the shareholders of Kiwibank Limited

**This report is for the Banking Group, comprising Kiwibank Limited (the “Bank”) and its controlled entities as at 31 December 2022 or from time to time during the six months ended on that date.**

The Auditor-General is the auditor of the Bank and the Banking Group. The Auditor-General has appointed me, Jonathan Freeman, using the staff and resources of PricewaterhouseCoopers, to carry out a limited assurance engagement in respect of the information relating to capital adequacy and regulatory liquidity requirements included in the Disclosure Statement of the Banking Group, on his behalf.

### Limited assurance report on compliance with the information required on capital adequacy and regulatory liquidity requirements

#### Our conclusion

We have undertaken a limited assurance engagement on the Bank’s compliance, in all material respects, with clause 22 of the Registered Bank Disclosure Statements (New Zealand Incorporated Registered Banks) Order 2014 (as amended) (the “Order”) which requires information prescribed in Schedule 9 of the Order relating to capital adequacy and regulatory liquidity requirements to be disclosed in its half year Disclosure Statement for the six month period ended 31 December 2022 (the “Disclosure Statement”).

Based on the procedures we have performed and the evidence we have obtained, nothing has come to our attention that causes us to believe that the Bank’s information relating to capital adequacy and regulatory liquidity requirements, included in the Disclosure Statement in compliance with clause 22 of the Order and disclosed on pages 37 to 42 of the Disclosure Statement, is not, in all material respects, disclosed in accordance with Schedule 9 of the Order.

#### Basis for conclusion

We have conducted our engagement in accordance with Standard on Assurance Engagements 3100 (Revised) *Compliance Engagements* (“SAE 3100 (Revised)”) issued by the New Zealand Auditing and Assurance Standards Board.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

#### Directors’ responsibilities

The Directors are responsible on behalf of the Bank for compliance with the Order, including clause 22 of the Order which requires information relating to capital adequacy and regulatory liquidity requirements prescribed in Schedule 9 of the Order to be included in the Disclosure Statement, for the identification of risks that may threaten compliance with that clause, controls that would mitigate those risks and monitoring ongoing compliance.





### **Our independence and quality management**

We have complied with the Auditor-General's:

- independence and other ethical requirements, which incorporate the requirements of Professional and Ethical Standard 1 *International Code of Ethics for Assurance Practitioners (including International Independence Standards) (New Zealand)* (PES 1) issued by the New Zealand Auditing and Assurance Standards Board. PES 1 is founded on the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.
- quality management requirements, which incorporate Professional and Ethical Standard 3 *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements* (PES 3) issued by the New Zealand Auditing and Assurance Standards Board. PES 3 requires our firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We are independent of the Banking Group. In addition to the audit of the annual financial statements, the half year review of the interim financial statements and this limited assurance engagement, our firm carries out other services for the Banking Group. These services comprise:

- reasonable assurance over registry compliance and limited assurance over compliance with certain matters in the trust deed in respect of a controlled entity within the Banking Group; and
- agreed upon procedures over debt programmes.

These services are compatible with those independence requirements. In addition, certain partners and employees of our firm may deal with the Banking Group on normal terms within the ordinary course of trading activities of the Banking Group. The provision of these services and relationships has not impaired our independence.

### **Assurance practitioner's responsibilities**

Our responsibility is to express a limited assurance conclusion on whether the Bank's information relating to capital adequacy and regulatory liquidity requirements, included in the Disclosure Statement in compliance with clause 22 of the Order is not, in all material respects, disclosed in accordance with Schedule 9 of the Order. SAE 3100 (Revised) requires that we plan and perform our procedures to obtain limited assurance about whether anything has come to our attention that causes us to believe that the Bank's information relating to capital adequacy and regulatory liquidity requirements, included in the Disclosure Statement in compliance with clause 22 of the Order, is not, in all material respects, disclosed in accordance with Schedule 9 of the Order.

In a limited assurance engagement, the assurance practitioner performs procedures, primarily consisting of discussion and enquiries of management and others within the entity, as appropriate, and observation and walk-throughs, and evaluates the evidence obtained. The procedures selected depend on our judgement, including identifying areas where the risk of material non-compliance with clause 22 of the Order in respect of the information relating to capital adequacy and regulatory liquidity requirements is likely to arise.

Given the circumstances of the engagement, we have:

- obtained an understanding of the process, models, data and internal controls implemented over the preparation of the information relating to capital adequacy and regulatory liquidity requirements;
- obtained an understanding of the Bank's compliance framework and internal control environment to ensure the information relating to capital adequacy and regulatory liquidity requirements is in compliance with the Reserve Bank of New Zealand ("the RBNZ")'s prudential requirements for banks;
- obtained an understanding and assessed the impact of any matters of non-compliance with the RBNZ's prudential requirements for banks that relate to capital adequacy and regulatory liquidity requirements and inspected relevant correspondence with the RBNZ;



- performed analytical and other procedures on the information relating to capital adequacy and regulatory liquidity requirements disclosed in accordance with Schedule 9 of the Order, and considered its consistency with the interim financial statements; and
- agreed the information relating to capital adequacy and regulatory liquidity requirements disclosed in accordance with Schedule 9 of the Order to information extracted from the Bank's models, accounting records or other supporting documentation.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement and consequently the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Accordingly, we do not express a reasonable assurance opinion on compliance with the compliance requirements.

#### **Inherent limitations**

Because of the inherent limitations of an assurance engagement, together with the internal control structure, it is possible that fraud, error or non-compliance with the compliance requirements may occur and not be detected.

A limited assurance engagement on the Bank's information relating to capital adequacy and regulatory liquidity requirements prescribed in Schedule 9 of the Order to be included in the Disclosure Statement in compliance with clause 22 of the Order does not provide assurance on whether compliance will continue in the future.

#### **Use of report**

This report has been prepared for use by the Bank's shareholders, as a body, for the purpose of establishing that these compliance requirements have been met.

Our report should not be used for any other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility for any reliance on this report to anyone other than the Bank and the Bank's shareholders, as a body, or for any purpose other than that for which it was prepared.

A handwritten signature in black ink, appearing to read 'Jonathan Freeman'.

Jonathan Freeman  
On behalf of the Auditor-General  
Wellington, New Zealand  
22 February 2023

The PricewaterhouseCoopers logo, featuring a stylized signature in black ink that reads 'PricewaterhouseCoopers'.

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